

Firm Scope and Innovation: The Role of Intangibles^{*}

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Abstract

This paper develops a unified theoretical framework to study how the composition of intangible investment and innovation direction jointly shape long-run growth and creative destruction. I build an endogenous growth model in which firms choose between vertical and horizontal innovation and allocate investment across R&D and firm-specific intangibles (brand value and organizational capital). Using firm-level data, I discipline the model and find that productivity, markups, and intangible investment composition vary systematically with firm scope: firms with narrower scope concentrate investment in knowledge capital, whereas firms with broader scope allocate relatively more to brand value and organizational capital. The calibrated model shows that firm scope determines intangible composition, which governs innovation direction, and that growing scope and organizational capital jointly raise entry barriers and suppress creative destruction. Size-based policies misrepresent firms' investment incentives by treating vertical and horizontal expansion symmetrically, whereas scope-dependent policies targeting intangible-driven externalities lead to higher rates of creative destruction and innovation.

Keywords: Schumpeterian growth, step-by-step innovation, intangibles, firm dynamics, span of control.

JEL Classification: E22, O31, O32, O33, O34.

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1. Introduction

Horizontal and vertical innovation are two core strategies in the modern endogenous growth literature for generating long-run growth through creative destruction. Firms can engage in horizontal innovation by expanding their product portfolios (Klette and Kortum, 2004) or pursue vertical innovation by improving the quality of existing products (Aghion, Harris, Howitt, and Vickers, 2001). At the same time, literature also documents that firms invest in intangibles not only to innovate but also to build intangible assets such as brand value and organizational capital that strengthen market positions rather than drive innovation-led growth (Cavenaile and Roldan-Blanco, 2021; Crouzet and Eberly, 2019).

While the directions of innovation and composition of intangibles are well documented separately, their interaction remains largely unexplored. To be concrete, Apple is a vertically integrated firm focused on mobile communication technologies and invests heavily in R&D. By contrast, 3M is active in transportation, safety, consumer, and health care industries, and although R&D remains its largest intangible investment, it allocates a substantially larger share toward brand and organizational capital relative to Apple¹. This contrast illustrates why firm size is an insufficient basis for innovation policy: a tax or subsidy that treats Apple and 3M symmetrically penalizes knowledge spillovers and rewards market-positioning intangibles equally, regardless of their aggregate consequences. Yet existing theories provide no framework for distinguishing these two firms' investment incentives or for designing policies that account for this heterogeneity.

What are the aggregate consequences of the interaction between innovation direction and intangible composition for economic growth and creative destruction? To answer this question, I proceed in two steps. First, I develop a unified theoretical framework in which firms engage in both vertical and horizontal innovation and allocate investment across different types of intangibles. Second, I document a new set of empirical regularities showing how firm-level outcomes and investment choices vary systematically with

¹The measurement details are given in Section 3.2.

firm scope, which I use to discipline the model. The calibrated model shows that firms operating with a narrower scope concentrate investment in knowledge capital, whereas firms with a broader scope allocate relatively more to brand value and organizational capital, and the composition of intangible types in turn determines firms' innovation direction. This joint determination of innovation direction and intangible composition implies that policies conditioned solely on firm size are insufficient, as firm size contains vertical and horizontal dimensions and therefore misrepresents firms' intangible investment incentives. By contrast, scope-dependent policies that target the externalities associated with intangible heterogeneity lead to higher rates of creative destruction and innovation.

To formalize intangible heterogeneity, I classify intangible assets according to their spillover effects across firms. In this paper, transferable intangibles consist of knowledge capital² with the associated R&D investments. These assets can be transferred between firms and generate spillover effects due to their non-rivalrous and partially excludable nature (Romer, 1990). In contrast, embedded intangibles comprise brand value³ and organizational capital⁴ are inherently firm-specific and inseparable from the firm that created them and do not generate spillovers. Consequently, when a firm exits the market, the economic value of embedded intangibles becomes a sunk cost.

In Section 2, I develop an endogenous growth model that the economy consists of a single final-good sector and a continuum of intermediate-good sectors. In each intermediate goods sector, a single superstar firm and a continuum of fringe firms produce intermediate goods for the final goods sector with a la Bertrand competition. Superstar

²Following Griliches (1979), R&D investment generates a stock of knowledge capital that accumulates over time. Examples of such knowledge include patents and innovation-related software, which illustrate the types of assets that embody technological know-how.

³Brand value is a demand shifter, positively influencing the perceived quality of a firm's output (Cavenaile and Roldan-Blanco, 2021; Cavenaile, Celik, Roldan-Blanco, and Tian, 2025). Evidence also suggests that brand value targeted marketing by increasing consumer awareness, thereby incentivizing substantial firm investment in advertising (Cavenaile, Celik, Perla, and Roldan-Blanco, 2025; Baslandze, Greenwood, Marto, and Moreira, 2023)

⁴Organizational capital conceptualized as managerial productivity, including the firm's embodied managerial talent and its contribution to future production profitability (Carlin, Chowdhry, and Garmaise, 2012; Eisfeldt and Papanikolaou, 2013; Prescott and Visscher, 1980)

firms can invest in embedded intangibles, which improve managerial productivity and the perceived quality of their products through brand value and organizational capital. Alternatively, they can invest in transferable intangibles, which enhance product quality in two ways: (i) by vertically improving existing products and (ii) by expanding their scope through entry into new sectors. Fringe firms produce homogeneous products and cannot accumulate brand value and organizational capital. When a superstar firm exits a sector, its transferable intangibles—the established product quality in that sector—become freely available to fringe firms. For fringe firms, the only path to becoming a superstar is through radical innovation.

The model incorporates two key frictions. First, the two types of intangibles differ in their scalability: embedded intangibles generate economies of scope as their benefits accumulate across sectors without proportional increases in cost, whereas transferable intangibles require separate investment in each sector. Second, while vertical innovation imposes no span-of-control constraints, expanding scope divides managerial attention across sectors, therefore reducing managerial quality per sector ([Lucas, 1978](#))⁵. However, as a superstar firm expands into more sectors, it accumulates a larger stock of organizational capital and managerial talent across its entire portfolio, so that while managerial quality per sector declines, the superstar’s total managerial capacity increases with scope. When facing a competitive threat, the incumbent superstar can temporarily re-deploy this accumulated total capacity onto a single contested sector, making the entry barrier it poses to challengers increasing in both firm scope and organizational capital.

In Section 3, I combine firm-level data from Compustat with the product-market fluidity dataset of [Hoberg, Phillips, and Prabhala \(2014\)](#) to document how markups, productivity, intangible investment, and competitive pressure vary systematically with firm scope. To isolate causal direction, I exploit variation in patent value ([Kogan, Papanikolaou, Seru, and Stoffman, 2017](#)) as an innovation shock in local projections comparing the responses of single- and multi-sector firms. Single-sector firms exhibit stronger reallocation toward

⁵See also [Jovanovic \(2025\)](#). [Acemoglu, Akcigit, Alp, Bloom, and Kerr \(2018\)](#) models a related trade-off in which skilled labor allocated to operational activities creates a cost of expanding scope, though without a direct effect on efficiency or pricing power.

transferable intangibles, larger productivity gains, higher markup responses, and greater competitive entry following an equivalent shock, while multi-sector firms display consistently weaker responses across all dimensions, consistent with the model's prediction.

In Section 4, I calibrate the model to firm-level cross-sectional moments and derive three quantitative predictions. First, scope exerts a first-order effect on innovation direction: as firms expand into additional sectors, the span-of-control constraint erodes market share in each individual sector, shifting incentives away from transferable and toward embedded intangible investment. Second, even firms of similar scope pursue sharply different innovation strategies depending on the composition of their intangible capital, generating rich nonlinear heterogeneity that aggregate models miss. Third, as scope and embedded intangibles grow jointly, the incumbent's managerial capacity rises, raising the displacement threshold for entrants and suppressing creative destruction. These three forces together drive a wedge between private and social returns to innovation: broader-scope firms investing predominantly in embedded intangibles erect larger entry barriers and generate smaller knowledge spillovers, while focused firms concentrating in transferable capital contribute more to creative destruction and aggregate productivity growth.

In Section 5, I use the calibrated model to conduct counterfactual experiments that quantify the aggregate consequences of firm scope and intangible capital accumulation. The results reveal a fundamental tradeoff: entry barriers erected by broad-scope firms investing in embedded intangibles suppress creative destruction and generate misallocation, yet their complete removal erodes the innovation rents that sustain long-run productivity growth. The embedded intangible barrier emerges as the quantitatively dominant source of misallocation, while the scope barrier, though mildly distortionary, disciplines vertical innovation incentives. These findings suggest that the social cost of broad-scope superstar firms operates primarily through the embedded intangible channel rather than scope expansion per se, pointing to targeted policy interventions rather than blanket restrictions on firm size.

In Section 6, I evaluate three policy instruments targeting the misallocation identified

in the counterfactual analysis. The results reveal a sharp disconnect between growth and welfare: policies that maximize long-run growth require large upfront investment costs that erode household consumption, while the welfare-maximizing design — subsidizing single-sector superstar firms and taxing broader-scope incumbents, combined with a fringe entrant subsidy — achieves both consumption and growth gains simultaneously. A fringe subsidy emerges as a necessary complement to any incumbent-facing instrument, since restoring competitive pressure at the entry margin generates disproportionate aggregate gains that tax policy alone cannot replicate.

Related Literature. A growing body of work documents that intangible investment increases market concentration and markups ([Chiavari and Goraya, 2025](#); [Crouzet and Eberly, 2019](#); [Weiss, 2020](#)). [De Ridder \(2024\)](#) treats software as a firm-specific fixed cost and shows that firms with higher software capability strategically increase their fixed-cost investment to lower their marginal production costs, which creates entry barriers. [Aghion, Bergeaud, Boppart, Klenow, and Li \(2023\)](#) distinguishes between product and process innovation and documents the role of information and communication technologies in driving concentration. In both frameworks, intangible capabilities are treated as a firm's inborn characteristics rather than endogenous investment choices. [Cavenaile and Roldan-Blanco \(2021\)](#) and [Cavenaile, Celik, Roldan-Blanco, and Tian \(2025\)](#) show that advertising can substitute for R&D and dampen innovation intensity, while [Pearce and Wu \(2025\)](#) examines brand-value transfer in the context of market concentration. I contribute to this literature by establishing intangible composition as an endogenous determinant of innovation direction, showing that how firms allocate investment across R&D, brand value, and organizational capital governs their choice between vertical and horizontal innovation and shapes the dynamics of market competition.

The literature has predominantly explained firms' choice of innovation direction through differences in firm size. [Akcigit and Kerr \(2018\)](#) show that smaller firms are more likely to engage in external innovation while larger firms tend toward quality-improving vertical innovation. [Berlingieri, De Ridder, Lashkari, and Rigo \(2025\)](#) document that firms frequently expand through sequential product diversification rather than by first improving

existing products, while [Garcia-Macia, Hsieh, and Klenow \(2019\)](#) find that most within-firm innovation arises from incumbents improving existing products rather than entering new lines. This paper establishes intangible composition as a determinant of innovation direction that operates independently of firm size. I show that firms of similar size optimally choose different innovation paths depending on their allocation of investment across transferable and embedded intangible assets, which firm size alone cannot account for the observed heterogeneity in innovation strategies.

The joint expansion of firm scope and embedded intangible investment also provides a complementary mechanism underlying several documented secular trends: declining knowledge spillovers ([Akcigit and Ates, 2021](#); [Akcigit and Ates, 2023](#)), deteriorating patent quality ([Olmstead-Rumsey, 2019](#)), production lock-in ([Casal, 2024](#)), and rising entry barriers ([Gutiérrez and Philippon, 2019](#)). As firm scope expands, investment shifts from transferable toward embedded intangibles, depressing knowledge spillovers and raising entry barriers through the accumulation of organizational capital and scope.

This paper also contributes to the misallocation literature ([Hsieh and Klenow, 2009](#); [Restuccia and Rogerson, 2008](#)) by identifying two distinct channels through which intangible heterogeneity generates allocative distortions. The first operates through markup dispersion ([Peters, 2020](#); [Edmond, Midrigan, and Xu, 2023](#)), driven by the accumulation of both transferable and embedded intangibles. The second operates through entry barriers: the joint expansion of embedded intangibles and firm scope makes creative destruction asymmetric, generating persistent misallocation that markup-based measures substantially understate.

Finally, the literature on span-of-control has focused primarily on hierarchical organization, knowledge-flow frictions, and managerial ability ([Smeets, Waldman, and Warzynski, 2019](#); [Bandiera, Prat, Sadun, and Wulf, 2014](#); [Garicano, 2000](#); [Bloom and Van Reenen, 2007](#)) and with ([Jovanovic, 2025](#)) linking span-of-control constraints to the firm-size distribution at the macro level. I contribute to this literature by disaggregating firm size into vertical and horizontal dimensions of innovation and showing that span-of-control frictions arise only from horizontal expansion. This distinction isolates how scope-driven

managerial constraints shape intangible investment, innovation direction, and aggregate growth.

2. Theoretical Model

The theoretical framework builds on the step-by-step vertical innovation model of [Ak-cigit and Ates \(2023\)](#) and the vertical and horizontal innovation model of [Peters \(2020\)](#). I combine both frameworks by introducing two distinct types of intangible investment and span-of-control frictions that arise exclusively from expanding scope.

2.1. Economic Environment

Preferences. Time is continuous and indexed by t . Household preferences are described by a logarithmic utility function

$$\int_0^\infty e^{-\rho t} \ln(C_t) dt, \quad (1)$$

where C_t denotes household consumption and $\rho > 0$ is the time discount rate. The household budget constraint is

$$\dot{A}_t = r_t A_t + w_t - C_t, \quad (2)$$

where A_t denotes total household assets, w_t is the wage rate, and r_t is the interest rate. Labor is supplied inelastically, and the price of the consumption good is normalized to 1, so that w_t and r_t are expressed in units of the consumption good. Since households own all firms in the economy, total assets equal the aggregate value of superstar and fringe firms across all intermediate-good sectors

$$A_t = \int_0^1 (V_{sjt} + V_{fjt}) dj,$$

where V_{sjt} and V_{fjt} denote the values of the superstar and fringe firm in sector j at time t .

Final Good Technology and Market Structure. The final good is produced by aggregating

a continuum of intermediate varieties $j \in [0, 1]$ according to

$$\ln(Y_t) = \int_0^1 \ln(y_{jt}) dj, \quad (3)$$

in a perfectly competitive market. In each intermediate-good sector, a single superstar firm and a continuum of fringe firms compete à la Bertrand competition to supply the final good producer. A superstar firm s may operate across multiple sectors simultaneously, characterized by the set of sectors for which it holds the leading technology, $J_s \subseteq [0, 1]$, with $n_s = |J_s| \in \mathbb{Z}_+$ denoting the number of such sectors. Output in each sector is aggregated with a constant elasticity of substitution technology

$$y_{jt} = (\Xi(e_{st}) y_{s jt}^\varepsilon + (1 - \Xi(e_{st})) y_{f jt}^\varepsilon)^{\frac{1}{\varepsilon}} \quad (4)$$

where $\Xi(e_{st}) \equiv \frac{\chi(e_{st})}{1 + \chi(e_{st})}$ denotes perceived quality of superstar firms and $\varepsilon \in (0, 1)$. In each sector, the superstar firm produces a differentiated good whose perceived quality is increasing in its brand value. Specifically, $\chi(\xi e_{st}) = (\xi e_{st})^\beta$ is an endogenous and concave demand shifter, where e_{st} denotes the embedded intangibles of superstar firm s , $\xi \in (0, 1)$ is the share of embedded intangibles associated with brand value, and $\beta \in (0, 1)$ governs the curvature of the demand shifter. The term $\Xi(e_{st})$ captures the notion that a higher stock of brand value raises the perceived quality of the superstar's product relative to the fringe. For simplicity, the brand value of fringe firms is normalized to one. Fringe firms produce a homogeneous good and are represented by the aggregate

$$y_{f jt} = \int_0^1 y_{ijt} di, \quad (5)$$

where each fringe firm $i \in (0, 1)$ takes the market price as given.

Superstar Firm Production. The production function for superstar firm s in sector j at time t is

$$y_{s jt} = \underbrace{q_{s jt}}_{\text{Product Quality}} \underbrace{\psi(e_{st}, n_{st})}_{\text{Managerial Quality}} \underbrace{l_{s jt}}_{\text{Labor Input}}, \quad (6)$$

where q_{sjt} denotes product quality, l_{sjt} is labor input, and $\psi(e_{st}, n_{st})$ captures managerial productivity, defined as

$$\psi(e_{st}, n_{st}) = \frac{((1 - \xi) e_{st})^\alpha}{\gamma n_{st}^\alpha}.$$

The component $(1 - \xi)e_{st}$ represents the share of embedded intangibles allocated to organizational capital, which governs managerial efficiency. The variable n_{st} denotes the number of sectors operated by firm s at time t . As firm scope n_{st} increases, managerial productivity per sector declines due to the span-of-control friction: the firm's managerial attention is distributed across a larger number of sectors, reducing the managerial capacity allocated to each individual sector. The parameter α governs the curvature of both organizational capital and the span-of-control constraint, while γ is a scale parameter. Aggregating superstar firm s managerial productivity across all active sectors generates total managerial capacity⁶

$$\Lambda \cdot e_{st}^\alpha \cdot n_{st}^{1-\alpha}, \quad \text{with} \quad \Lambda \equiv \frac{(1 - \xi)^\alpha}{\gamma}.$$

When $0 < \alpha < 1$, total managerial capacity follows a Cobb-Douglas form, exhibiting diminishing marginal returns to both organizational capital and scope.⁷ Total managerial capacity governs the incumbent superstar's ability to defend its market position against challenger entry, a mechanism formalized in the creative destruction part.

Fringe Firm Production. Fringe firms produce output using a linear technology:

$$y_{fjt} = q_{fjt} l_{fjt}, \tag{7}$$

where q_{fjt} denotes productivity and l_{fjt} is labor input. Fringe firms operate in a single sector, cannot accumulate embedded intangibles, and have managerial quality normalized to one. Their productivity is inherited: when a superstar firm exits a sector, its transfer-

⁶Managerial productivity is symmetric across sectors, so total managerial capacity equals per-sector managerial productivity multiplied by the number of active sectors.

⁷When $\alpha > 1$, diseconomies of scope emerge: coordination costs outweigh the benefits of expansion and total managerial capacity decreases with firm scope.

able intangibles become publicly available, and fringe firms adopt the previous superstar's productivity level.

Investment and Innovation. Superstar firms pursue three distinct innovation strategies. They can invest in transferable intangibles to either improve the quality of an existing product through vertical innovation or expand into a new sector through horizontal innovation. Additionally, they can invest in embedded intangibles to raise their brand value and organizational capital across all sectors in which they operate (see in [Figure 1](#)). The first two strategies require sector-specific investment because product quality improvements embody knowledge specific to each sector's technology. By contrast, embedded intangible investment is firm-specific: an improvement in brand value or organizational capital simultaneously raises the embedded intangible stock of all sectors within the firm's portfolio, reflecting the economies of scope that embedded intangibles generate.

The variables $I_{s jt}^{\text{Emb}}$, $I_{s jt}^{\text{Ver}}$, and $I_{s jt}^{\text{Hor}}$ denote the investment of superstar firm s in embedded intangibles, vertical innovation in an existing sector, and horizontal innovation into a new sector, respectively. Each unit of investment generates a successful flow rate of innovation: z_{jt}^{Emb} for embedded intangible, z_{jt}^{Ver} for vertical, and z_{jt}^{Hor} for horizontal innovation investment. Investments are subject to convex costs:

$$I_{jt}^{\text{Ver}} = \gamma^{\text{Ver}} (z_{s jt}^{\text{Ver}})^{\vartheta^{\text{Ver}}} Y_t, \quad I_{jt}^{\text{Hor}} = \gamma^{\text{Hor}} (z_{jt}^{\text{Hor}})^{\vartheta^{\text{Hor}}} Y_t, \quad (8)$$

$$\text{and} \quad I_{jt}^{\text{Emb}} = \gamma^{\text{Emb}} (z_{jt}^{\text{Emb}})^{\vartheta^{\text{Emb}}} Y_t,$$

where the cost parameters γ^{Ver} , γ^{Hor} , and γ^{Emb} govern the scale of each investment cost function, ϑ^{Ver} , ϑ^{Hor} , and ϑ^{Emb} govern their curvature, and all costs scale with aggregate output Y_t . The total investment in transferable intangibles by a superstar s in sector j at time t is

$$I_{s jt}^{\text{T}} = I_{s jt}^{\text{Ver}} + I_{s jt}^{\text{Hor}}. \quad (9)$$

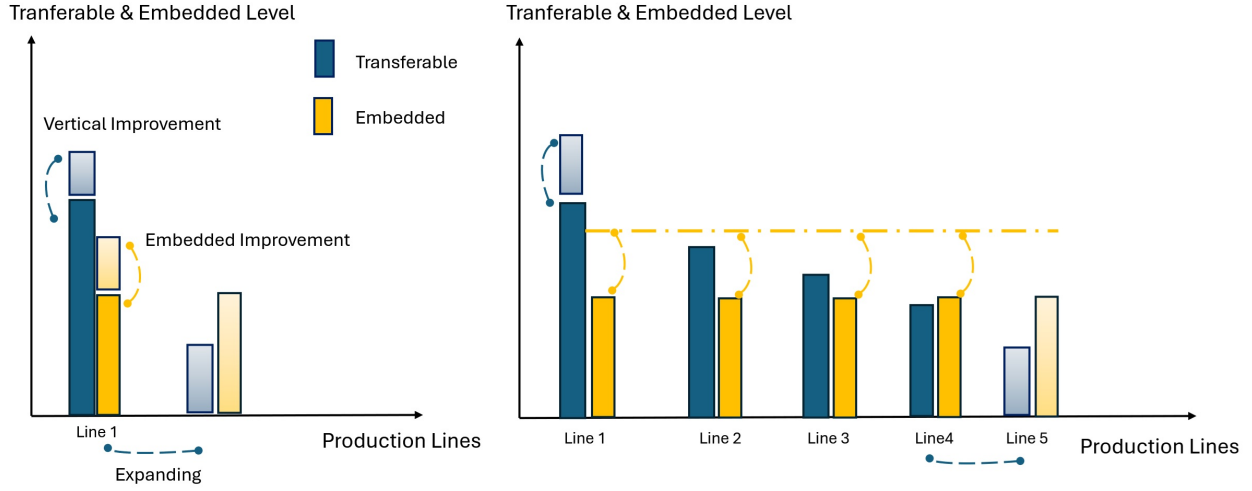


Figure 1. Firm Investment and Innovation Types

Fringe firms invest only in transferable intangibles within their sector, targeting radical innovations that would allow them to displace the incumbent superstar. Their investment cost function takes the form

$$I_{fjt} = \gamma^f (z_{fjt})^{\vartheta^f} Y_t, \quad (10)$$

where γ^f is the cost scale parameter and ϑ^f governs the curvature of investment.

A successful innovation — whether vertical within an existing sector or horizontal into a new sector — improves product quality by a factor of $\lambda > 1$. A successful embedded intangible investment raises brand value and organizational capital by a factor of $\theta > 1$ across all active sectors simultaneously. Product quality and embedded intangibles therefore evolve as

$$q_{sjt} = \lambda^{m_{sjt}} q_{sj0}, \quad \text{and} \quad e_{st} = \theta^{k_{st}} e_{s0}, \quad (11)$$

where m_{sjt} and k_{st} denote the cumulative number of product-quality and embedded intangible innovations by firm s in sector j up to time t , respectively, and initial levels are normalized to $q_{sj0} = 1$ and $e_{s0} = 1$.

Upon the exit of a superstar firm, its transferable technology becomes freely available to fringe firms in sector j . The quality gap between the superstar and the fringe in sector

j at time t is therefore

$$\frac{q_{sjt}}{q_{fjt}} = \lambda^{m_{sjt}-m_{fjt}} = \lambda^{m_{jt}}, \quad (12)$$

where $m_{jt} \equiv m_{sjt} - m_{fjt}$ denotes the transferable intangible gap. Since the embedded intangible stock of fringe firms is normalized to one, the gap in brand value and organizational capital is given by the superstar's embedded stock:

$$\frac{e_{st}}{e_{ft}} = \frac{\theta^{k_{st}}}{1} = \theta^{k_{st}}, \quad (13)$$

where k_{st} denotes the embedded intangible gap. To ensure a finite state space, I impose upper bounds $\bar{m}$ and $\bar{k}$ on the quality gap m_{jt} and the embedded gap k_{st} , respectively ⁸.

Both superstar and fringe firms can displace the incumbent superstar through creative destruction, but their paths to entry differ fundamentally due to asymmetric capabilities in innovation and intangible accumulation.

Assumption (Managerial Reallocation). *When an incumbent superstar faces competition from a challenger, it can temporarily concentrate its entire managerial capacity on the contested sector. This reallocation is costless in the short run and determines the outcome of the price competition stage.*

Superstar Creative Destruction. A superstar firm expanding its scope innovates in a randomly selected sector j' , improving product quality by a factor of λ such that $q_{sjt} = \lambda q_{s'jt}$, and displaces the incumbent if its marginal cost falls below the incumbent superstar:

$$\frac{w_t}{\Lambda q_{sjt} e_{st}^\alpha n_{st}^{1-\alpha}} < \frac{w_t}{\Lambda q_{s'jt} e_{s't}^\alpha n_{s't}^{1-\alpha}}.$$

The probability that the entrant successfully displaces the incumbent is

$$\mathbb{P}_{s>s'} \equiv \sum_{m_{s'}=1}^{\bar{m}} \sum_{k_{s'}=1}^{\bar{k}} \sum_{n_{s'}=1}^{\bar{n}} \mathbb{I}\{\lambda (\theta^{k_s})^\alpha n_{st}^{1-\alpha} > (\theta^{k_{s'}})^\alpha n_{s't}^{1-\alpha}\} \mu_t(m_{s'}, k_{s'}, n_{s'}),$$

⁸The span of control constraint imposes a natural upper bound $\bar{n}$ on expanding scope.

where the left-hand side captures the entrant's total managerial capacity after the quality improvement and the right-hand side captures the incumbent's total managerial capacity under temporary reallocation. The term $\mu_t(m_{s'}, k_{s'}, n_{s'}) \in [0, 1]$ denotes the mass of superstar firms in state $(m_{s'}, k_{s'}, n_{s'})$ at time t , defined over the finite and discrete state space $\mathcal{M} \times \mathcal{K} \times \mathcal{N}$, with $\mathcal{M} = \{1, \dots, \bar{m}\}$, $\mathcal{K} = \{1, \dots, \bar{k}\}$, and $\mathcal{N} = \{1, \dots, \bar{n}\}$, satisfying

$$\sum_{m_{s'}, k_{s'}, n_{s'}} \mu_t(m_{s'}, k_{s'}, n_{s'}) = 1. \quad (14)$$

The probability of losing the specific sector j' is expressed by

$$\mathbb{P}_{c>s'} = \sum_{m_c, k_c, n_c} \mathbb{I}\{\lambda (\theta^{k_c})^\alpha n_{ct}^{1-\alpha} > (\theta^{k_s})^\alpha n_{st}^{1-\alpha}\} \mu_t(m_c, k_c, n_c),$$

Fringe Firm Creative Destruction. Fringe firms cannot accumulate embedded intangibles and therefore cannot compete with the incumbent on managerial capacity. Their only path to superstar status is through radical innovation, which requires jumping multiple steps on the quality ladder by a factor $\lambda^{\bar{m}} > \lambda$, such that $q_{sjt} = \lambda^{\bar{m}} q_{s'jt}$.⁹ Since fringe firms are symmetric and invest identically within each sector, a fringe firm successfully displaces the incumbent in sector j if and only if

$$\mathbb{I}_{f>s'} \equiv \mathbb{I}\{\lambda^{\bar{m}} > (\theta^{k_{s'}})^\alpha n_{s'}^{1-\alpha}\},$$

where the right-hand side depends solely on the incumbent's state $(k_{s'}, n_{s'})$. This condition, together with the challenger superstar entry condition, establishes that entry barriers are increasing in both the incumbent's embedded intangible stock $\theta^{k_{s'}}$ and its scope $n_{s'}$, regardless of whether the challenger is a fringe firm or a rival superstar.

⁹Fringe firms in the model correspond to small firms in the data. A vast literature documents that small and young firms grow faster than their larger counterparts (Evans, 1987 Haltiwanger, Jarmin, and Miranda, 2013).

2.2. Equilibrium

This section characterizes the general equilibrium of the model, which consists of a static and a dynamic component. The analysis begins with the static equilibrium, determining prices and allocations for a given set of states. Subsequently, I define the Markov Perfect Equilibrium for the dynamic game, outlining the value functions, optimal policy functions, and the evolution of the aggregate state distribution.

Household's Problem. A household maximizes utility subject to the budget constraint, yielding the Euler equation:

$$\frac{\dot{C}_t}{C_t} = r_t - \rho. \quad (15)$$

Along the balanced growth path, consumption and output grow at the same rate $g = r - \rho$, and the transversality condition holds.

Final and Intermediate Good Sectors. The final-good producer's demand for intermediate goods in sector j satisfies

$$p_{jt} = \frac{Y_t}{y_{jt}}. \quad (16)$$

This implies the following demand functions for the superstar and fringe firms,

$$y_{sjt} = p_{jt}^{\frac{\varepsilon}{1-\varepsilon}} p_{sjt}^{\frac{1}{\varepsilon-1}} Y_t (\Xi(e_s))^{\frac{1}{1-\varepsilon}} \quad \text{and} \quad y_{fjt} = p_{jt}^{\frac{\varepsilon}{1-\varepsilon}} p_{fjt}^{\frac{1}{\varepsilon-1}} Y_t (1 - \Xi(e_s))^{\frac{1}{1-\varepsilon}}, \quad (17)$$

where p_{sjt} and p_{fjt} are the prices charged by the superstar and fringe firms, respectively, and p_{jt} is the ideal price index for sector j :

$$p_{jt} = \left((\Xi(e_s))^{\frac{-1}{\varepsilon-1}} p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s))^{\frac{-1}{\varepsilon-1}} p_{fjt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{\frac{\varepsilon-1}{\varepsilon}}. \quad (18)$$

Prices and Market Share. The Cobb-Douglas aggregator implies equal expenditure shares across all sectors. The market share of superstar firm s in sector j at time t is

$$\frac{p_{sjt} y_{sjt}}{p_{jt} y_{jt}} = \frac{p_{sjt} y_{sjt}}{Y_t} = p_{jt}^{\frac{\varepsilon}{1-\varepsilon}} p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} \Xi(e_s)^{\frac{1}{1-\varepsilon}} \equiv \phi_{sjt}. \quad (19)$$

Since market shares sum to one, the fringe firms' share is $1 - \phi_{sjt}$. The equilibrium price of the superstar firm under Bertrand competition is¹⁰

$$p_{sjt} = \frac{1 - \varepsilon \phi_{sjt}}{(1 - \phi_{sjt}) \varepsilon} MC_{sjt}, \quad (20)$$

where MC_{sjt} denotes the marginal cost of the superstar firm.¹¹ The equilibrium price is increasing in product quality and the embedded intangible stock, and decreasing in the number of sectors operated. The price ratio of fringe to superstar firms is

$$\frac{p_{fjt}}{p_{sjt}} = \frac{(1 - \phi_{sjt}) \varepsilon}{1 - \varepsilon \phi_{ijt}} \cdot \lambda^{m_j} \left(\frac{(1 - \xi) e_{st}}{n_s} \right)^\alpha. \quad (21)$$

Substituting the ideal price index from equation (18) into the market share definition in equation (19), the superstar's market share can be expressed in terms of relative prices as the superstar firm's market share depends on the quality gap m_j , the embedded intangible stock e_{st} , and the number of sectors operated n_s .

Profit, Markup, and Labor Demand. The static operational profit and markup of the superstar firm are proportional to its market share:

$$\pi_{sjt} = \frac{(1 - \varepsilon) \phi_{sjt}}{1 - \varepsilon \phi_{sjt}} Y_t \quad \text{and} \quad \sigma_{sjt} = \frac{1 - \varepsilon \phi_{sjt}}{(1 - \phi_{sjt}) \varepsilon}. \quad (22)$$

Both markup and profit increase with market share and therefore decline with firm scope, reflecting the diminishing managerial productivity that arises from the span-of-control friction. The optimal labor inputs for superstar and fringe firms are

$$l_{sjt} = \frac{\phi_{sjt}}{\sigma_{sjt}} \omega_t^{-1} \quad \text{and} \quad l_{fjt} = (1 - \phi_{sjt}) \omega_t^{-1}, \quad (23)$$

where $\omega_t = w_t/Y_t$ denotes the wage share of the economy.

The static equilibrium provides only an implicit solution. Nonetheless, the model yields

¹⁰See Appendix B.3 for the full derivations. For the Cournot competition version, see Appendix B.4.

¹¹Although fringe firms lack independent pricing power, their presence creates a competitive constraint that disciplines the superstar firm, preventing it from fully extracting monopolistic rents.

tractable dynamics because the equilibrium outcome for a superstar firm depends solely on its market share, which is determined by the quality gap, the embedded intangible stock, and the number of sectors it operates in.

Superstar Value Function. The value function of superstar firm s depends on the quality gap vector $\mathbf{m} = \{m_j\}_{j=1}^n$, the embedded intangible gap k , and the number of sectors operated n .¹² The firm chooses innovation flow rates z_j^{Ver} , z_j^{Hor} , and z_j^{Emb} to maximize

$$\begin{aligned}
r_t V_t(\mathbf{m}, k, n) - \dot{V}_t(\mathbf{m}, k, n) = & \max_{z_{jt}^{\text{Ver}}, z_{jt}^{\text{Hor}}, z_{jt}^{\text{Emb}}} \sum_{j=1}^n \left(\frac{(1-\varepsilon) \phi_t(m_j, k, n)}{1-\varepsilon \phi_t(m_j, k, n)} Y_t \right. \\
& + \underbrace{\mathbb{P}_{s \geq s'} z_{jt}^{\text{Hor}} [V_{jt}((m_j, 1), k, n+1) - V_{jt}(m_j, k, n)]}_{\text{Horizontal Innovation}} + \underbrace{z_{jt}^{\text{Ver}} [V_{jt}(m_j+1, k, n) - V_{jt}(m_j, k, n)]}_{\text{Vertical Innovation}} \\
& + \underbrace{z_{jt}^{\text{Emb}} [V_{jt}(\mathbf{m}, k+1, n) - V_{jt}(\mathbf{m}, k, n)]}_{\text{Embedded Intangible Innovation}} + \underbrace{Z_{(c>s)t}^{\text{Hor}} [-V_{jt}(m_j, k, n)]}_{\text{Challenger Entry}} + \underbrace{\mathbb{I}_{f>s} Z_{jt}^f [-V_{jt}(m_j, k, n)]}_{\text{Fringe Entry}} \\
& \left. - \gamma^{\text{Ver}} (z_{jt}^{\text{Ver}})^{\vartheta^{\text{Ver}}} Y_t - \gamma^{\text{Emb}} (z_{jt}^{\text{Emb}})^{\vartheta^{\text{Emb}}} Y_t - \gamma^{\text{Hor}} (z_{jt}^{\text{Hor}})^{\vartheta^{\text{Hor}}} Y_t \right). \tag{24}
\end{aligned}$$

The left-hand side of the value function shows the return on the value function and its gain over time. The first line on the right-hand side represents the profit of the superstar firm in sector j . The second and third terms capture the value gains from horizontal and vertical innovation, respectively: a successful horizontal innovation expands the firm's scope from n to $n+1$, while a successful vertical innovation advances the quality gap in sector j by one rung. The fourth term captures the firm-wide gain from a successful embedded intangible investment, which raises the embedded gap k by one rung across all active sectors simultaneously. The fifth and sixth terms capture the value loss upon displacement by a challenger superstar or a fringe firm. The final three terms are the convex investment costs defined in equation (8). The terms $Z_{(c>s)t}^{\text{Hor}}$ and Z_{jt}^f denote the aggregate innovation rates of challenger superstar firms and fringe firms, respectively. The aggregate horizontal innovation rate of challenger superstars that successfully displace

¹²To simplify notation, the subscript s is omitted whenever it is clear from context.

the incumbent is

$$Z_{(c>s)t}^{\text{Hor}} = \sum_{m_c, k_c, n_c} \mathbb{I}\{\lambda (\theta^{k_c})^\alpha n_{ct}^{1-\alpha} > (\theta^{k_s})^\alpha n_{st}^{1-\alpha}\} z_t^{\text{Hor}}(m_c, k_c, n_c) \mu_t(m_c, k_c, n_c),$$

and the aggregate fringe firm innovation rate is $Z_{jt}^f = \int_0^1 z_{ijt} di$.

Along the balanced growth path, aggregate output Y , consumption C , and the value function $V(\mathbf{m}, k, n)$ all grow at the constant rate g . Defining the normalized value function $v(\mathbf{m}, k, n) \equiv V(\mathbf{m}, k, n)/Y$, the stationary value function satisfies

$$\begin{aligned} \rho v(\mathbf{m}, k, n) = & \max_{z_j^{\text{Ver}}, z_j^{\text{Hor}}, z_j^{\text{Emb}}} \sum_{j=1}^n \left(\frac{(1-\varepsilon) \phi(m_j, k, n)}{1-\varepsilon \phi(m_j, k, n)} \right. \\ & + \underbrace{\mathbb{P}_{s \geq s'} z_j^{\text{Hor}} [v((m_j, 1), k, n+1) - v(m_j, k, n)]}_{\text{Horizontal Innovation}} + \underbrace{z_j^{\text{Ver}} [v(m_j+1, k, n) - v(m_j, k, n)]}_{\text{Vertical Innovation}} \\ & + \underbrace{z_j^{\text{Emb}} [v(\mathbf{m}, k+1, n) - v(\mathbf{m}, k, n)]}_{\text{Embedded Intangible Innovation}} + \underbrace{Z_{c>s}^{\text{Hor}} [-v(m_j, k, n)]}_{\text{Challenger Entry}} + \underbrace{\mathbb{I}_{f>s} Z_j^f [-v(m_j, k, n)]}_{\text{Fringe Entry}} \\ & \left. - \gamma^{\text{Ver}} (z_j^{\text{Ver}})^{\vartheta^{\text{Ver}}} - \gamma^{\text{Emb}} (z_j^{\text{Emb}})^{\vartheta^{\text{Emb}}} - \gamma^{\text{Hor}} (z_j^{\text{Hor}})^{\vartheta^{\text{Hor}}} \right). \end{aligned} \quad (25)$$

Fringe Value Function. Since fringe firms produce a homogeneous good, they earn zero profit in equilibrium and derive value solely from the prospect of displacing the incumbent through radical innovation. The fringe firm chooses innovation intensity z_{ft} to maximize this prospect, trading off investment costs against the value gain from becoming the new superstar. The indicator $\mathbb{I}_{f>s}$ equals one when the fringe firm's drastic innovation is sufficient to overcome the incumbent's total managerial capacity and displace it. The value function also accounts for changes in the fringe firm's competitive environment arising from the incumbent superstar's own vertical, horizontal, and embedded intangible innovations, from the entry of a challenger superstar that displaces the incumbent, and from the innovation of another fringe firm that successfully becomes the new super-

star, each of which alters the state the fringe firm faces.

$$\begin{aligned}
r_t V_{ft}(m, k, n) - \dot{V}_{ft}(m, k, n) = \max_{z_{ft}} \Bigg\{ & \underbrace{\mathbb{I}_{f>s'} z_{ft} [V_t(\bar{m}, 1, 1) - V_{ft}(m, k, n)]}_{\text{Radical Innovation}} - \gamma^f (z_{ft})^{\vartheta^f} Y_t \\
& + \underbrace{\mathbb{P}_{s \geq s'} z_{jt}^{\text{Hor}} [V_{ft}((m, 1), k, n+1) - V_{ft}(m, k, n)]}_{\text{Incumbent Horizontal Innovation}} + \underbrace{z_{jt}^{\text{Ver}} [V_{ft}(m+1, k, n) - V_{ft}(m, k, n)]}_{\text{Incumbent Vertical Innovation}} \\
& + \underbrace{z_{jt}^{\text{Emb}} [V_{ft}(m, k+1, n) - V_{ft}(m, k, n)]}_{\text{Incumbent Embedded Innovation}} + \underbrace{\mathbb{E}_{\mu_t} [\mathbb{I}_{c>s} \cdot z_t^{\text{Hor}} \cdot \Delta V_{ft}]}_{\text{Challenger Superstar Entry}} + \\
& \underbrace{\mathbb{I}_{f>s} Z_{jt}^f [V_{ft}(\bar{m}, 1, 1) - V_{ft}(m, k, n)]}_{\text{Fringe Challenger}} \Bigg\}, \tag{26}
\end{aligned}$$

where the challenger superstar entry term is

$$\mathbb{E}_{\mu_t} [\mathbb{I}_{c>s} \cdot z_t^{\text{Hor}} \cdot \Delta V_{ft}] \equiv \sum_{m_c, k_c, n_c} \mathbb{I}\{\lambda(\theta^{k_c})^\alpha n_c^{1-\alpha} > (\theta^{k_s})^\alpha n_s^{1-\alpha}\} z_t^{\text{Hor}}(m_c, k_c, n_c) \mu_t(m_c, k_c, n_c) \Delta V_{ft},$$

with $\Delta V_{ft} \equiv V_{ft}(1, k_s, n_s) - V_{ft}(m, k, n)$ denoting the value change for the fringe firm upon facing a new incumbent drawn from μ_t .

Innovation Decisions. The first-order conditions of the stationary value functions yield the following optimal innovation rates:

$$z_j^{\text{Ver}} = \left(\frac{v_j(m_j+1, k, n) - v_j(m_j, k, n)}{\gamma^{\text{Ver}} \cdot \vartheta^{\text{Ver}}} \right)^{\frac{1}{\vartheta^{\text{Ver}}-1}} \tag{27}$$

$$z_j^{\text{Hor}} = \left(\frac{\mathbb{P}_{s \geq s'} [v_j((m_j, 1), k, n+1) - v_j(m_j, k, n)]}{\gamma^{\text{Hor}} \cdot \vartheta^{\text{Hor}}} \right)^{\frac{1}{\vartheta^{\text{Hor}}-1}} \tag{28}$$

$$z_j^{\text{Emb}} = \left(\frac{v(\mathbf{m}, k+1, n) - v(\mathbf{m}, k, n)}{\gamma^{\text{Emb}} \cdot \vartheta^{\text{Emb}}} \right)^{\frac{1}{\vartheta^{\text{Emb}}-1}} \tag{29}$$

$$z_f = \left(\frac{\mathbb{I}_{f>s} [v(\bar{m}, 1, 1) - v_f(m, k, n)]}{\gamma^f \cdot \vartheta^f} \right)^{\frac{1}{\vartheta^f-1}} \tag{30}$$

Each optimal innovation rate is increasing in the value gain from the corresponding in-

novation and decreasing in its cost scale and curvature parameters.

Distribution Evolution. The law of motion of the distribution $\mu_t(m, k, n)$ is driven by net flows into and out of state (m, k, n) . Inflows arise from firms that enter (m, k, n) following a successful innovation in one or more dimensions; outflows arise from firms that leave (m, k, n) as a result of their own innovation or displacement by entrants.

$$\begin{aligned}
\dot{\mu}_t(m, k, n) = & z_t^{\text{Ver}}(m-1, k, n) \mu_t(m-1, k, n) + z_t^{\text{Emb}}(m, k-1, n) \mu_t(m, k-1, n) \\
& + \mathbb{P}_{s \geq s'} z_t^{\text{Hor}}(m, k, n-1) \mu_t(m, k, n-1) \\
& + z_t^{\text{Ver}}(m-1, k-1, n) z_t^{\text{Emb}}(m-1, k-1, n) \mu_t(m-1, k-1, n) \\
& + z_t^{\text{Ver}}(m-1, k, n-1) \mathbb{P}_{s \geq s'} z_t^{\text{Hor}}(m-1, k, n-1) \mu_t(m-1, k, n-1) \\
& + z_t^{\text{Emb}}(m, k-1, n-1) \mathbb{P}_{s \geq s'} z_t^{\text{Hor}}(m, k-1, n-1) \mu_t(m, k-1, n-1) \\
& + z_t^{\text{Ver}}(m-1, k-1, n-1) z_t^{\text{Emb}}(m-1, k-1, n-1) \\
& \times \mathbb{P}_{s \geq s'} z_t^{\text{Hor}}(m-1, k-1, n-1) \mu_t(m-1, k-1, n-1) \\
& - z_t^{\text{Ver}}(m, k, n) \mu_t(m, k, n) - z_t^{\text{Emb}}(m, k, n) \mu_t(m, k, n) \\
& - \mathbb{P}_{s \geq s'} z_t^{\text{Hor}}(m, k, n) \mu_t(m, k, n) - \mathbb{I}_{f > s} Z_t^f(m, k, n) \mu_t(m, k, n) - Z_{(c > s t)}^{\text{Hor}} \mu_t(m, k, n)
\end{aligned} \tag{31}$$

The first three terms capture inflows from states one step behind in a single dimension; the next three capture inflows from states one step behind in two dimensions; and the subsequent term captures inflows from states one step behind in all three dimensions simultaneously. The final group of terms captures outflows due to the incumbent's own innovation, displacement by a fringe firm, and displacement by a challenger superstar.¹³

Aggregate Variables. The labor market clears according to

$$1 = \int_0^1 (l_{sjt} + l_{fjt}) dj. \tag{32}$$

¹³At the boundaries of the state space, the relevant outflow terms are set to zero. When any dimension attains its upper bound $(\bar{m}, \bar{k}, \bar{n})$, outflows from further innovation in that dimension are zero. When any dimension attains its lower bound $(1, 1, 1)$, inflows from lower states are zero.

Using equations (23) and (32), the normalized wage satisfies

$$\omega_t = \sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \left(\frac{\phi_t(m, k, n)}{\sigma_t(m, k, n)} + 1 - \phi_t(m, k, n) \right) \mu_t(m, k, n). \quad (33)$$

Combining the production functions (3), (6), and (7) with the labor demand equations (23) yields aggregate output

$$Y_t = Q_t \omega_t^{-1} \exp \left(\underbrace{\sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \ln \left[(\xi \theta^{k_t})^\beta \left(\frac{((1-\xi)\theta^{k_t})^\alpha \phi_t(m, k, n)}{\gamma n_t^{\alpha_s} \sigma_t(m, k, n)} \right)^\varepsilon + \left(\lambda^{-m_t} (1 - \phi_t(m, k, n)) \right)^\varepsilon \right]}_{\equiv R_t(m, k, n)} \right)^{\frac{1}{\varepsilon}} \mu_t(m, k, n), \quad (34)$$

where $Q_t = \exp \left(\int_0^1 \ln q_{sjt} dj \right)$. Along the balanced growth path, the economy grows at rate¹⁴

$$g = \ln \lambda \sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \left(z^{\text{Ver}}(m, k, n) + \mathbb{P}_{s \geq s'} z^{\text{Hor}}(m, k, n) + Z^f(m, k, n) \right) \mu(m, k, n). \quad (35)$$

The resource constraint is

$$Y_t = C_t + \int_0^1 (I_{jt}^{\text{Ver}} + I_{jt}^{\text{Hor}} + I_{jt}^{\text{Emb}}) dj + \int_0^1 I_{jt}^f dj, \quad \text{with} \quad I_{jt}^f = \int_{F_j} I_{ijt} di. \quad (36)$$

Equilibrium Definition. A Markov Perfect equilibrium consists of an allocation $\{C_t, Y_t, y_{sjt}, y_{fjt}\}$, prices $\{r_t, w_t, p_{sjt}, p_{fjt}\}$, and innovation policies $\{z^{\text{Ver}}, z^{\text{Hor}}, z^{\text{Emb}}, z_f\}$ and labor allocations $\{l_{sjt}, l_{fjt}\}$ and distribution $\mu_t(m, k, n)$ such that: the final good producer maximizes profit given prices; the superstar firm maximizes its value function given its state $(\mathbf{m}, k, n)$, choosing vertical, horizontal, and embedded innovation rates as in equations (27)–(29); the fringe firm chooses its optimal innovation rate as in equation (30); the labor market clears; $\mu_t(m, k, n)$ satisfies the each period equation (14) and evolves according to equation (31); aggregate consumption and output grow at the common rate g given by equation (35), with the resource constraint (36) satisfied.

¹⁴See Appendix B.5 for details.

3. Dataset and Empirical Facts

3.1. Data Description

Compustat Fundamentals and Segment. Compustat Fundamentals provides comprehensive firm-level financial information for publicly listed companies in North America and offers extensive longitudinal coverage. It includes detailed balance sheet items, income statement components, cash flow data, and key financial ratios. An additional advantage is that it enables data to be merged with external datasets through a unique firm identifier.

Measuring firm scope requires information on the industries in which a firm operates. Compustat provides two segment datasets: (i) the Historical Segment dataset¹⁵, which offers long-run coverage of firms' segment activities but limited segment-level detail, and (ii) the Compustat Segment dataset, introduced in 2016, which provides richer information on segment characteristics but over a shorter time horizon. In both datasets, a firm's segments are defined as the 2-digit industries in which it operates.¹⁶

To balance coverage and detail, I combine the two sources, relying on the Compustat Segment dataset when available and the Historical Segment dataset otherwise.¹⁷ From these data, I identify the set of two-digit industries in which each firm operates in a given year and define firm scope as the number of such industries. I then merge the segment information with Compustat Fundamentals to construct firm-level measures of markups, productivity, and the composition of intangible investment across sectors.¹⁸

¹⁵Under Regulation SFAS No. 131—codified as ASC 280 after 2009—U.S. public firms are required to disclose the identity of any one customer that accounts for more than 10% of its total revenue, along with the nature of the products or services provided to that customer. These mandated disclosures constitute the foundation of the Historical Segment datasets.

¹⁶For a comparative illustration of firm segment classification, see Tables A1.

¹⁷In this project, for the Compustat Historical Segment dataset, geographic and operational segments are excluded; only business segments are retained. For the Compustat Segment dataset, only non-missing entries from the Product–Service (PD–SRVC) category are included. When segment information for a firm is available in the Compustat Segment dataset, I prioritize that source. Otherwise, I use data from the Historical Segment dataset.

¹⁸The merged Compustat dataset contains fewer firms than the Fundamentals database because segment information is unavailable for some firms. In addition, I restrict the sample to firms with positive R&D

Fluidity Dataset. The product market fluidity metric from [Hoberg, Phillips, and Prabhala \(2014\)](#) measures the rate at which firms in similar markets change their product or service offerings annually. It is calculated using natural language processing (NLP) on the product descriptions from firms’ annual 10-K reports filed with the U.S. Securities and Exchange Commission. This method tracks year-over-year changes in how companies describe their business. A high fluidity score indicates that competitors are adapting rapidly by launching new products, shifting strategies, and entering new markets. Consequently, firms in high-fluidity markets face heightened competitive threats from rivals reconfiguring their offerings and positions.

3.2. Measurement

Productivity and Markup Estimation. I estimate firm-level total factor productivity using the approach developed by [Gandhi, Navarro, and Rivers \(2020\)](#)¹⁹. They propose a non-parametric identification strategy that uses a transformation of the first-order condition for intermediate inputs to isolate flexible-input effects and identify the production function and input elasticities without relying solely on proxy inversion. To estimate firm-level markups, I follow the methodology of [De Loecker, Eeckhout, and Unger \(2020\)](#) and define markups as the ratio of sales to the cost of goods sold (cogs) multiplied by the output elasticity of the variable input, which I obtain from the first-stage production function estimation using [Levinsohn and Petrin, 2003](#).

Investment Ratio. Following [Peters and Taylor \(2017\)](#), I measure transferable intangible investment as total R&D expenditure and embedded intangible investment as 30% of Selling, General, and Administrative (SG&A) expenses net of R&D. SG&A encompasses a broad range of expenditures including advertising, employee compensation, and general operational costs. Once R&D is netted out, the remaining SG&A primarily reflects adver-

and SG&A expenditures. This cleaning and merging process does not affect the representativeness of the merged dataset relative to the full Compustat Fundamentals sample; see Figure A1.

¹⁹The productivity estimation results are robust to alternative production function estimation methods, including those proposed by [Akerberg, Caves, and Frazer \(2015\)](#) and [Levinsohn and Petrin \(2003\)](#); see Figure ?? For methodological details, see Appendix A.1

tising spending and employee-related costs, the majority of which are routine operating expenses consumed in the current period. However, a portion of these expenditures accumulates within the firm as lasting intangible capital: advertising builds brand recognition and employee compensation develops organizational knowledge and managerial talent. The 30% fraction captures this accumulating component, with the remainder treated as routine operating costs that generate no lasting intangible value.

3.3. Empirical Facts

To document how firm-level outcomes respond to innovation, I estimate local projections following [Jordà \(2005\)](#) with the patent-value measure of [Kogan, Papanikolaou, Seru, and Stoffman \(2017\)](#) as an innovation shock. Patent value captures the excess stock market reaction to patent grants within a narrow event window around the grant date, reflecting the market’s assessment of the unexpected returns to the innovation. A key feature of this measure is that it arrives at the grant date, which is largely predetermined relative to the firm’s strategic decisions.²⁰ The local projection specification takes the form

$$\Delta_h Y_{ijt} = \alpha_h + \beta_{\text{Multi}} V_{it} D_{it} + \beta_{\text{Single}} V_{it} (1 - D_{it}) + \Gamma_h^\top \mathbf{X}_{i,t-1} + \delta_h Y_{i,t-1} + \theta_j + \lambda_t + u_{ijt}, \quad (37)$$

where $\Delta_h Y_{ijt} \equiv Y_{i,t+h} - Y_{it}$ is the h -period change in outcome Y for firm i in industry j , $V_{it} = \sum_{p \in \mathcal{P}_{it}} \text{PatentValue}_{p,t}$ is the firm-year sum of patent value shocks, and $D_{it} = 1\{i \text{ is multi-sector at } t\}$ indicates multi-sector status. The vector $\mathbf{X}_{i,t-1}$ collects lagged controls, $Y_{i,t-1}$ absorbs pre-shock outcome levels, and θ_j and λ_t denote industry and year fixed effects. The coefficients β_{Single} and β_{Multi} trace the impulse responses of single- and multi-sector firms, respectively, to an equivalent innovation shock. Scope status is defined using each firm’s pre-shock classification and held fixed throughout the estimation window, ensuring that firms that subsequently change their reported segments do not mechanically alter the interaction term.

²⁰Segment changes are relatively infrequent in the data, suggesting that the innovation shocks identified here primarily reflect vertical improvements within existing sectors rather than scope-expanding horizontal innovations.

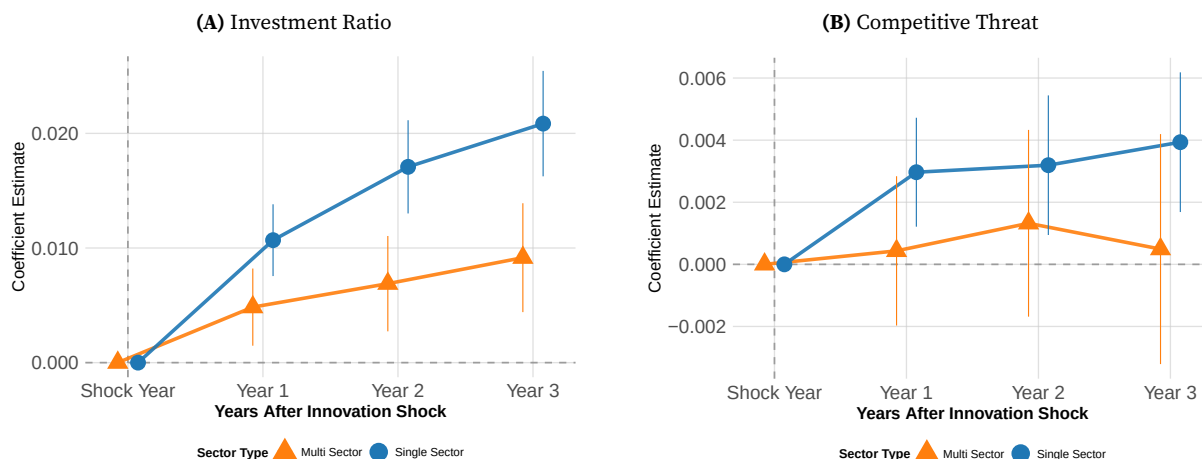


Figure 2. Markup, Investment Ratio, and Fluidity with Production Lines

Note: The sample excludes utilities and finance sectors, as well as firms with missing or non-positive R&D and SG&A. All variables are in logarithmic form and cover the period 1990–2019.

Figure 2(A) establishes that innovation shocks increase the investment ratio for both single- and multi-sector firms, reflecting a reallocation of resources toward knowledge-generating intangibles, but the magnitude and precision of the response differ markedly across firm types. Single-sector firms exhibit a stronger and more precisely estimated investment response, with the gap opening at the shock year and widening monotonically over the subsequent three years. This divergence suggests that operating across multiple sectors weakens the incentive to shift investment toward transferable intangibles: when innovative activity is concentrated in a single domain, the patent-value shock translates into a larger and more sustained reallocation away from embedded toward transferable intangible investment.

Figure 2(B) shows that single-sector innovators attract substantially greater competitive entry following an innovation shock. This result indicates that innovation does not remain internal to the firm; instead, it diffuses outward, reshaping the competitive landscape and inducing rival entry. By contrast, the response for multi-sector firms remains close to zero throughout the horizon and is statistically indistinguishable from zero at all horizons. This near-zero response in competitive threat is itself informative. One interpretation is that multi-sector firms create stronger entry barriers in the markets in

which they operate, limiting the diffusion of knowledge to rivals. Alternatively, innovation in multi-sector firms may rely on cross-sector complementarities that rivals with a narrower scope cannot easily replicate. Either mechanism implies that multi-sector firms appropriate a larger share of the gains from their innovations internally.

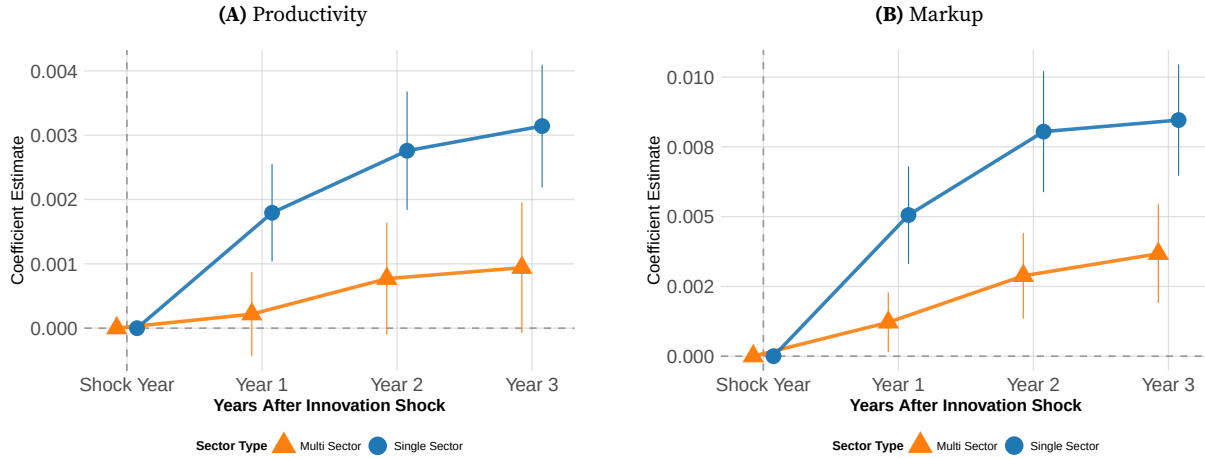


Figure 3. Markup, Investment Ratio, and Fluidity with Production Lines

Note: The sample excludes utilities and finance sectors, as well as firms with missing or non-positive R&D and SG&A. All variables are in logarithmic form and cover the period 1990–2019.

Figure 3 (A) and Figure 3 (B) show that the heterogeneity between firm types persist also productivity and markups that more directly capture the appropriability of innovation rents. Single-sector firms display the highest productivity levels and the strongest productivity responses following an innovation shock, while multi-sector firms exhibit considerably weaker responses. A similar pattern emerges for markups. Firms with narrower scope command higher price–cost margins, and their markups rise more strongly following innovation shocks. This finding is consistent with Autor, Dorn, Katz, Patterson, and Van Reenen (2020) in which higher-productivity firms charge higher markups. In contrast, multi-sector firms display muted responses in both productivity and markups, and the estimates are less precisely measured. Taken together, Figure 2 and Figure 3 show that firm scope systematically moderates the returns to innovation along every margin. Because the Kogan, Papanikolaou, Seru, and Stoffman (2017) patent-value measure is constructed to be directly comparable across firm types, the differential responses are

unlikely to reflect differences in shock quality or industry composition.

The local projections identify the direction and relative magnitude of the scope-innovation relationship under a credible shock. Table A2 in appendix confirms that these relationships are not driven by industry composition or aggregate time trends: two-way fixed effects estimates remain negative and statistically significant across all outcomes, indicating that the scope relationship reflects systematic within-firm variation. Taken together, these results point to a coherent set of regularities, summarized by the following three stylized facts.

Fact 1. Firm scope dampens the reallocation toward transferable intangibles: single-sector firms respond more strongly and persistently to innovation shocks than their multi-sector counterparts.

Fact 2. Innovation diffuses outward in focused firms. Following a shock, single-sector firms attract measurable rival entry, while multi-sector firms exhibit no significant competitive response at any horizon.

Fact 3. The gains from innovation in both productivity and markups are concentrated in single-sector firms. Multi-sector firms display significantly weaker responses along both margins, indicating that scope limits the appropriability of innovation rents.

4. Quantitative Analysis

4.1. Calibration and Identification

For scope level n , the marginal distribution is

$$\mu(n) = \sum_m \sum_k \mu(m, k, n).$$

The competitive threat at scope level n is defined as the probability that an incumbent loses a given sector, conditional on a challenger's successful innovation, combining dis-

placement by a rival superstar and by a fringe firm:

$$CT(n) = \mathbb{E}_n[\mathbb{P}_{c>s'}(m, k, n) + \mathbb{I}_{f>s'}(k, n)],$$

Investment ratio and the average markup at scope level n are

$$I(n) = \mathbb{E}_n \left[\frac{I^{\text{Ver}}(m, k, n) + I^{\text{Hor}}(m, k, n) + I^f(m, k, n)}{I^{\text{Emb}}(m, k, n)} \right], \quad \sigma(n) = \mathbb{E}_n \left[\frac{1 - \varepsilon \phi(m, k, n)}{(1 - \phi(m, k, n)) \varepsilon} \right].$$

Finally, the growth rate and productivity²¹ at scope level n are

$$g(n) = \mathbb{E}_n \left[\ln \lambda \left(z^{\text{Ver}}(m, k, n) + \mathbb{P}_{k \geq k'} z^{\text{Hor}}(m, k, n) + Z^f(m, k, n) \right) \right], \quad Q(n) = e^{g(n)}.$$

The model is disciplined by 36 empirical moments, comprising 18 targeted and 18 untargeted moments across six scope levels. The calibration relies on 16 parameters, of which four are set externally. The time discount rate is fixed at $\rho = 0.05$, and the curvature parameters governing R&D investment for vertical innovation, horizontal innovation, and fringe firms are set to $\vartheta^{\text{Ver}} = \vartheta^{\text{Hor}} = \vartheta^f = 2.0$, following [Akcigit and Kerr \(2018\)](#). The remaining 12 parameters ($\varepsilon, \lambda, \theta, \alpha, \gamma, \beta, \xi, \gamma^{\text{Ver}}, \gamma^{\text{Hor}}, \gamma^f, \gamma^{\text{Emb}}, \vartheta^{\text{Emb}}$) are estimated internally and pin down the model's key margins. Table 1 reports all parameter values. Appendix ?? details the construction of empirical counterparts, while Appendix C.2 describes the solution method.

4.2. Model Performance

Figure 4 shows that the model matches the targeted moments closely across all dimensions. Panel (A) reproduces the monotone decline in markups with scope, capturing both its slope and magnitude; the remaining discrepancies are confined to the extremes. Panel (B) shows that the model tightly tracks the transferable-to-embedded investment ra-

²¹Productivity satisfies $\dot{Q}(n, t)/Q(n, t) = g(n)$, which integrates to $Q(n, t) = Q(n, t_0) e^{g(n)(t-t_0)}$ for any normalization date t_0 . Hence, $Q(n)$ denotes the associated gross growth factor over a unit interval. The choice of normalization affects only levels and has no bearing on equilibrium allocations or identification.

Table 1. Parameter Values

Parameter	Description	Value
-----External Calibration-----		
ρ	Discount rate	0.050
ϑ^{Ver}	Curvature of vertical investment	2.000
ϑ^{Hor}	Curvature of horizontal investment	2.000
ϑ^f	Curvature of fringe firms investment	2.000
-----Internal Calibration-----		
ε	CES parameter	0.864
λ	Quality improvement step size	1.084
θ	Embedded innovation step size	1.148
α	Curvature of managerial quality	0.591
γ	Scale of managerial quality	0.759
β	Curvature of brand value	0.108
ξ	Share of brand value	0.347
γ^{Ver}	Cost scale of internal innovation	4.188
γ^{Hor}	Cost scale of horizontal innovation	4.022
γ^f	Cost scale of fringe	194.160
γ^{Emb}	Cost scale of embedded innovation	285.883
ϑ^{Emb}	Curvature of embedded innovation	5.577

Note: The upper limit for the number of production lines $\bar{n}$ is set to 6, and the upper bounds for $\bar{m}$ and $\bar{k}$ are set to 9.

tio, including the sharp drop from $n = 1$ to $n = 2$ and the subsequent flattening. Panel (C) demonstrates that the model replicates the scope distribution almost exactly, capturing both the concentration of superstar firms at narrow scope and the rapid thinning as scope expands. Overall, the model fits the targeted moments with high accuracy.

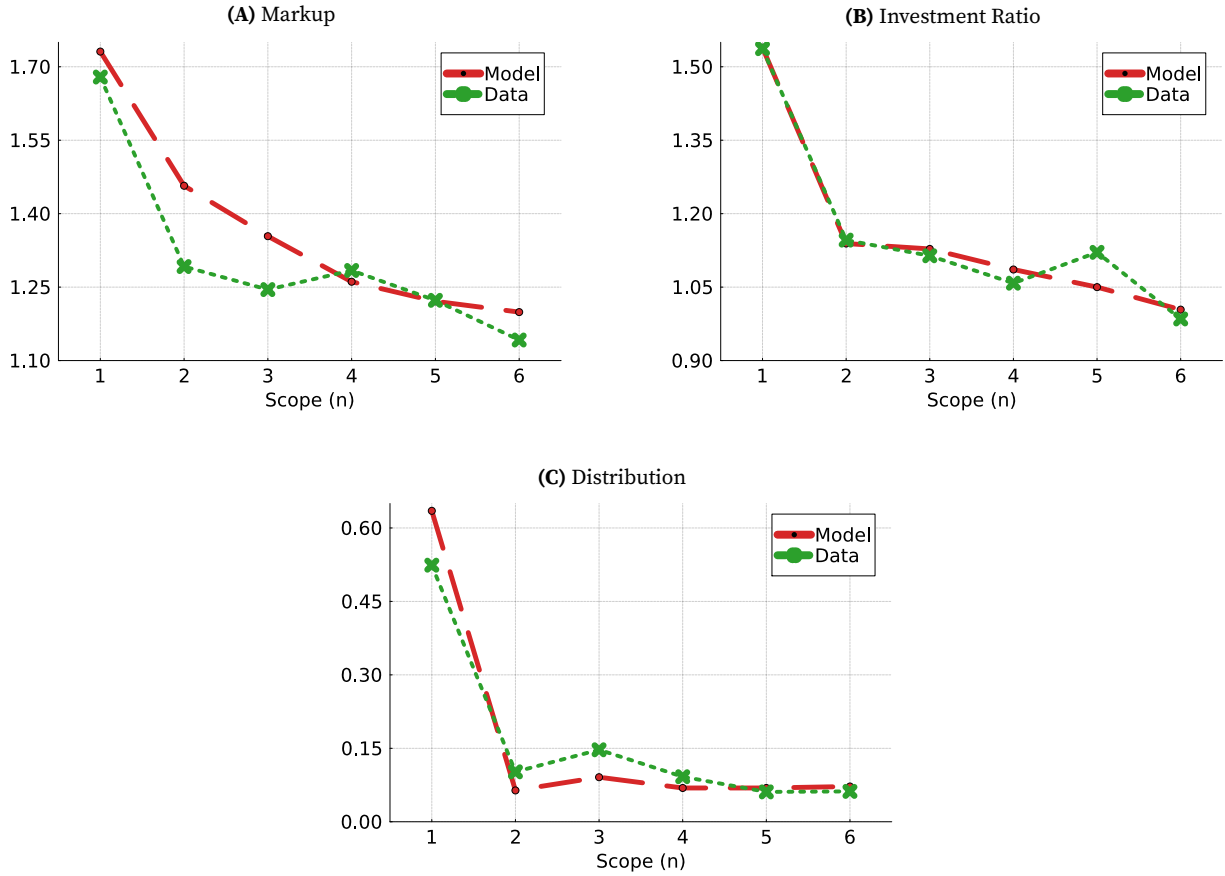


Figure 4. Targeted Moments: Markup, Investment Ratio and Distribution by Scope

Note: The green line represents the data and the red line the model along the balanced growth path. The sample excludes firms in the utilities and finance sectors, as well as firms with missing or non-positive R&D and SG&A expenditures. Markups, the investment ratio, and the size distribution are measured for the 2019 cross-section. The investment ratio is defined as transferable over embedded investment (see Section 3.2) and is winsorized at the 95th percentile; markups are winsorized at the 90th percentile. Appendix ?? provides details on the construction of empirical counterparts to the model moments.

Figure 5 evaluates the model along untargeted dimensions. The model continues to perform strongly, indicating that the mechanisms disciplined by the targeted moments generalize. Panel (A) shows that the model reproduces the decline in productivity with scope with only minor deviations. Panel (B) captures the overall downward trend in growth rates, although it does not reproduce the non-monotonicities at intermediate scope levels; in particular, it understates growth for narrow-scope firms and does not generate negative growth at $n = 6$. Panel (C) shows that the model closely matches the competitive threat profile, including its sharp decline from $n = 1$ to near zero at high scope. Taken together, the model delivers a tight fit to moments that were not targeted in estimation,

providing strong support for its quantitative discipline and for the structural interpretation of the underlying parameters.

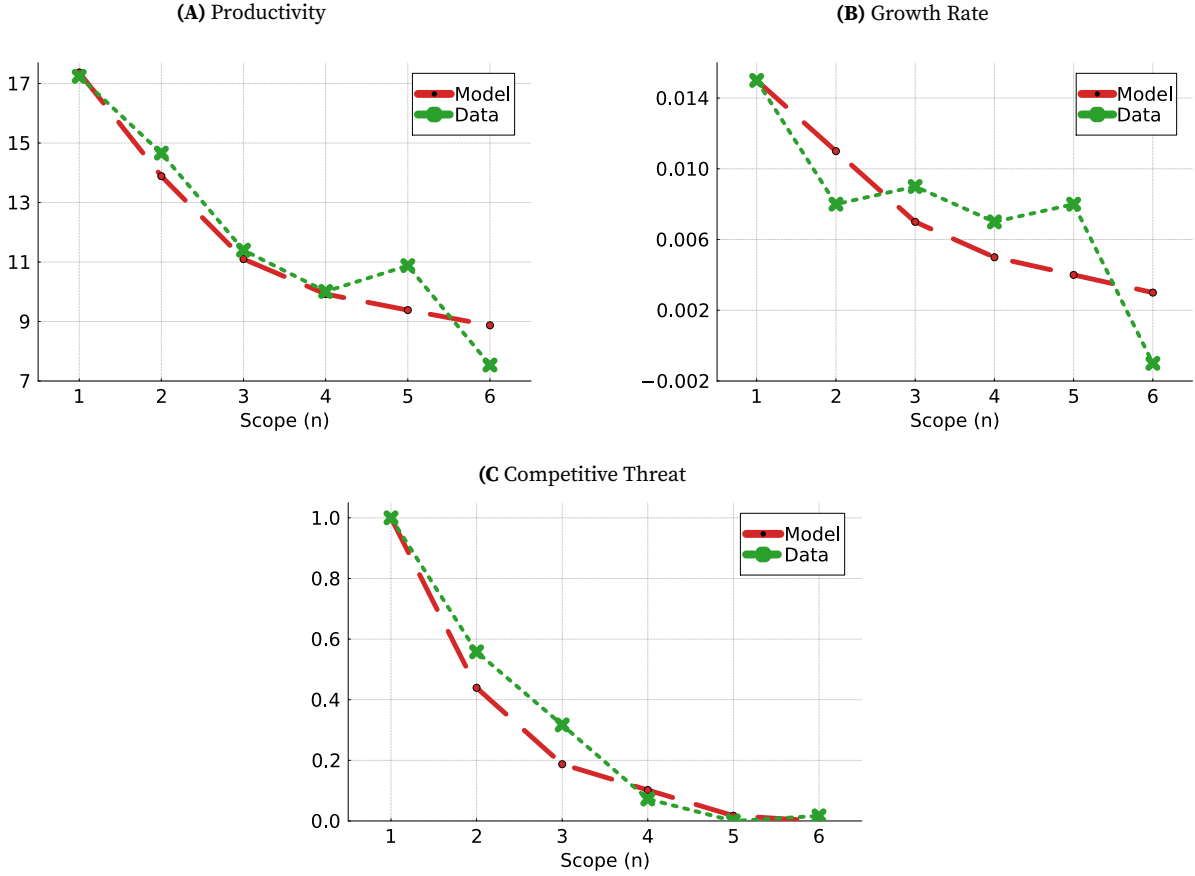


Figure 5. Untargeted Moments: Productivity, Growth Rate and Competitive Threat by Scope

Note: The green line represents the data and the red line the model along the balanced growth path. The sample excludes firms in the utilities and finance sectors, as well as firms with missing or non-positive R&D and SG&A expenditures. Productivity and competitive threat are measured for the 2019 cross-section and are described in Section 3.2. The growth rate is defined as the two-year log change in productivity, $\Delta_2 \ln(\text{prod})_{i,t} = \ln(\text{prod}_{i,t}) - \ln(\text{prod}_{i,t-2})$, averaged over 2005–2019 and winsorized at the 10th and 90th percentiles and productivity is winsorized at the 95th percentile. Competitive threat, in both the model and data, is computed as the average at each scope level and rescaled via min–max normalization, $(\bar{x}(n) - \min \bar{x}(n)) / (\max \bar{x}(n) - \min \bar{x}(n))$, which lies in $[0, 1]$, with higher values indicating greater competitive pressure. Appendix ?? details the construction of empirical counterparts to the model moments.

4.3. Superstar Firms Innovation Direction and Incentives

Figure 6 illustrates how the optimal innovation direction of superstar firms varies across scope, the transferable intangible gap m , and the embedded intangible level k . Two broad patterns emerge. First, scope itself exerts a first-order effect on innovation incentives: as firms expand from $n = 1$ to $n = 6$, the span-of-control constraint progressively erodes

market share in each individual sector. Second, within each scope level, substantial heterogeneity persists depending on the composition of a firm's intangible endowment, and this relationship is highly nonlinear, particularly at low scope.

At $n = 1$, the specialization index reveals a rich interaction between the two intangible dimensions. Firms with low accumulated embedded intangibles optimally pursue horizontal innovation: without sufficient embedded stocks, cross-sector complementarities are weak, and expanding scope offers higher returns than deepening quality within a single product line. As k increases, however, embedded intangibles amplify the complementarity with transferable intangibles and raise the firm's market share in its current sector, tilting incentives toward vertical innovation. Yet this pattern is moderated by the transferable intangible gap: as m rises, the return to vertical quality improvement declines, and sufficiently high embedded intangible levels further raise the return to scope expansion—since embedded intangibles are freely mobile across sectors—shifting firms back toward horizontal innovation. In the boundary case $m = \bar{m}$, firms at the maximum transferable gap can no longer improve quality vertically, making these regions absorbing states that concentrate innovation incentives entirely toward the horizontal margin, as reflected in the deep red cells along the rightmost column.

At $n = 2$, a similar logic applies, but the span-of-control constraint begins to bind more tightly. Firms with sufficiently high embedded intangible levels no longer find it profitable to enter an additional sector: the market share loss induced by the span-of-control constraint across existing lines outweighs the gains from scope expansion, and vertical innovation dominates. Firms with lower embedded levels, whose market share in each sector is more modest, retain stronger incentives to invest horizontally, though these incentives are already attenuated relative to $n = 1$. This attenuation grows monotonically with scope: the horizontal innovation region shrinks from $n = 2$ onward, and by $n = 4$ it nearly vanishes entirely. A stark illustration arises at $n = 3$ with $m = \bar{m}$: firms at the maximum transferable gap cannot improve quality vertically, yet for embedded levels above $k = 2$ they also refrain from horizontal investment, since the market share dilution implied by the span-of-control constraint exceeds the gains from entering an additional

sector.

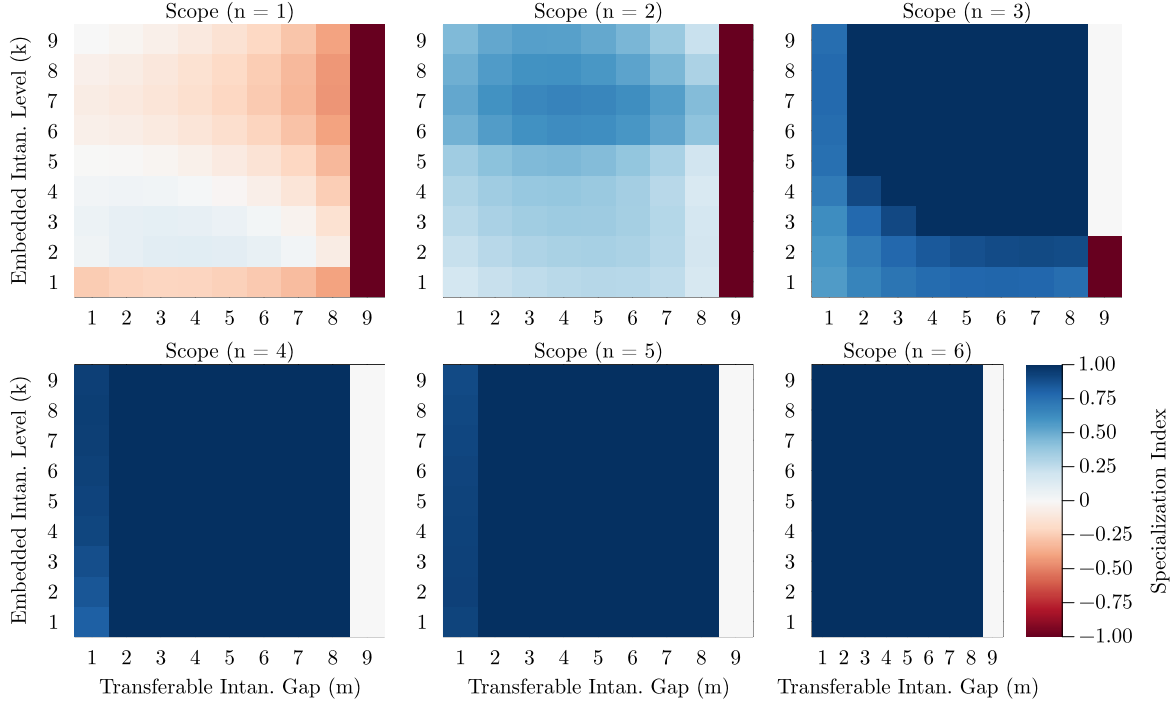


Figure 6. Superstar Firms Innovation Direction (Vertical vs Horizontal)

Each panel displays the specialization index $S(m, k) = \frac{z^{Ver}(m, k) - \mathbb{P}_{s > s^*} z^{Hor}(m, k)}{z^{Ver}(m, k) + \mathbb{P}_{s > s^*} z^{Hor}(m, k)}$ evaluated over the (m, k) grid for a given scope level n . The index lies in $[-1, 1]$: blue cells indicate specialization toward vertical innovation, red cells indicate specialization toward horizontal innovation, and white cells indicate approximate indifference between the two directions. Each panel holds scope fixed and varies the transferable intangible gap m along the horizontal axis and the embedded intangible level k along the vertical axis, with the color gradient within a panel capturing how the innovation direction of superstar firms responds to their intangible stock composition at a given scale. Panels are arranged in order of increasing scope from $n = 1$ (top left) to $n = 6$ (bottom right).

A complementary pattern emerges at the boundary $m = \bar{m}$ as scope increases. At low scope ($n = 1, 2$), the maximum transferable gap is an absorbing state that concentrates incentives sharply toward horizontal innovation, as reflected in the deep red cells along the rightmost column. This character changes markedly as scope expands: by $n \geq 3$, the rightmost column transitions to white, indicating near-indifference between the two innovation directions. The economic mechanism is distinct from the interior blue region. In the interior, the span-of-control constraint drives firms toward vertical investment by making scope expansion prohibitively costly. At the boundary $m = \bar{m}$, however, firms cannot improve quality vertically, yet at high scope the market share dilution from horizontal entry is also too severe to justify further expansion. The result is approximate indifference—not a preference for vertical innovation, but an exhaustion of profitable

margins in both directions.

Taken together, Figure 6 establishes that innovation direction cannot be reduced to firm size alone. Scope shapes the overall level of innovation incentives by governing market share and managerial costs, while the composition of the intangible endowment determines the direction of investment within each scope level. The interaction between these two dimensions is inherently nonlinear—manifesting in the sharp interior heterogeneity at low scope, the near-universal dominance of vertical innovation at high scope, and the qualitative shift in boundary behavior at $m = \bar{m}$ as scope expands—and both are necessary to account for the heterogeneity in innovation strategies observed across superstar firms.

4.4. Demand and Supply Effects of Embedded Intangibles

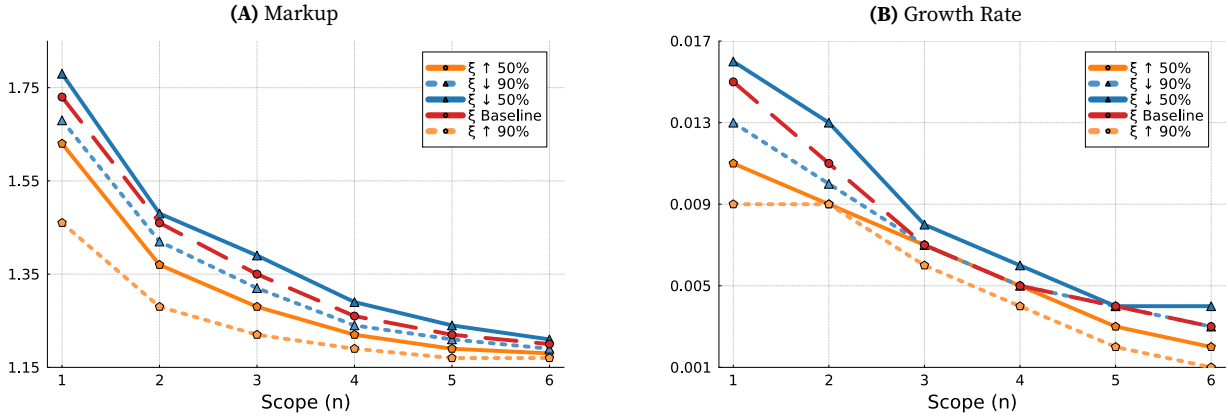


Figure 7. Impact of ξ on Markup and Growth Rate

Note: Each panel reports variables as a function of firm scope n under symmetric perturbations of the parameter ξ relative to the baseline calibration. The dotted lines correspond to larger perturbations ($\xi \uparrow 90\%$ and $\xi \downarrow 90\%$), while the solid lines correspond to smaller perturbations ($\xi \uparrow 50\%$ and $\xi \downarrow 50\%$). Upward perturbations are shown in orange, while downward perturbations are shown in blue. The baseline is shown as a red dashed line.

In the theoretical model (Section 2), the parameter ξ governs the allocation of embedded intangibles between brand value on the demand side and organizational capital on the supply side, with $1 - \xi$ determining the organizational capital share. Figure 7 provides clean identification of which component dominates by tracing symmetric perturbations

around the baseline calibration.

A moderate reduction in ξ of 50 percent, shifting composition toward organizational capital, raises both markups and aggregate growth rates above the baseline uniformly across all scope levels. The supply-side interpretation is direct: organizational capital attenuates the managerial costs of horizontal expansion, sustaining productivity across production lines and strengthening the creative destruction process. The symmetric upward perturbation confirms the asymmetry of these roles. When brand value commands a larger share of the embedded intangible stock, both markups and growth fall below the baseline uniformly across all scope levels, since brand value provides no analogous offset to expansion costs. The demand-side pricing power it confers is insufficient to compensate for the erosion of organizational efficiency, so the supply-side effect dominates throughout.

Both components, however, exhibit concave returns, and this concavity becomes the binding constraint at extreme compositions. On the markup margin, pushing the organizational capital share to 90 percent continues to raise markups above the baseline at every scope level, preserving the directional gain. On the growth margin, the picture is more nuanced: the $\xi \downarrow 90\%$ perturbation raises growth above the baseline at low scope ($n = 1, 2$), but as scope expands the gains diminish and eventually reverse, with growth falling below the baseline at $n = 4, 5, 6$. The concavity of organizational capital returns thus manifests asymmetrically across outcomes: it does not erode the markup gains but does ultimately offset the growth gains for broad-scope firms, since extreme concentration in organizational capital progressively crowds out the brand-value market power that sustains innovation incentives at the frontier. On the brand value margin, losses deepen monotonically relative to the baseline as ξ rises, with the $\xi \uparrow 90\%$ perturbation driving growth to near zero at highr scope reflecting the compounding of two forces: the span-of-control constraint increasingly erodes market share as scope expands, and the absence of sufficient organizational capital removes the only supply-side mechanism capable of offsetting these managerial costs. ²²

²²Figure C2 in the Appendix showing that the firm distribution is largely invariant to ξ perturbations, with

These results establish that organizational capital is the more consequential component of embedded intangibles for aggregate outcomes, but with an important qualification: its supply-side gains in growth are concave and eventually reverse at high scope under extreme reallocation, while its markup gains remain positive throughout. Brand value, by contrast, generates monotone losses in both margins relative to the baseline, with the growth near-collapse at $n = 6$ under maximal brand-value concentration underscoring the first-order importance of the supply-side channel. Policies shifting the embedded intangible composition toward organizational capital therefore raise aggregate growth and amplify knowledge spillovers by inducing greater investment in transferable intangibles, though the concavity of returns implies that such gains are maximized at an interior composition rather than at the corner solution.

5. Counterfactual Analysis

5.1. Shutting Down Embedded Intangibles and Span of Control Constraint

To understand the effects of the span-of-control constraint and embedded intangibles on scope distribution, long-run economic growth, markups, and competitive threat, I consider two counterfactuals: shutting down the span-of-control constraint ($n^\alpha = 1$) and eliminating embedded intangibles ($\bar{k} = 1$).

Shutting down the span-of-control constraint allows superstar firms to expand scope without decreasing managerial quality per sector; consequently, the scope distribution shifts mass toward higher scope levels, since horizontal innovation no longer erodes managerial quality. Markups rise monotonically with scope, reversing the baseline pattern. The growth rate, in turn, exhibits an inverted-U pattern with scope.

only a modest concentration toward single-sector firms as brand value rises, while the investment ratio reveals that narrow-scope firms respond with substantially higher investment in transferable intangibles when the organizational capital share increases by 50 percent relative to baseline.

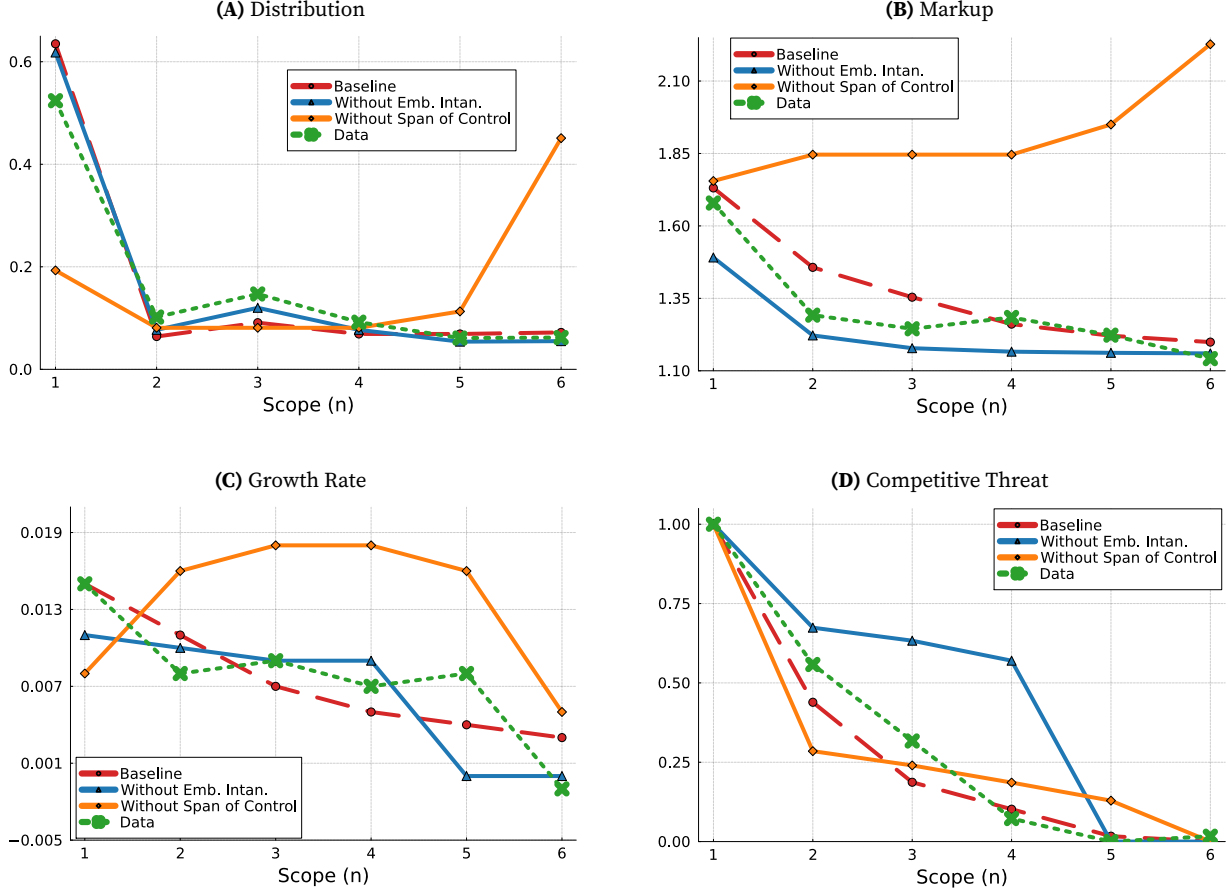


Figure 8. Counterfactual Analysis Under Different Cases

Note: The green line represents the data, whereas the red line shows the model results along the balanced growth path. The orange line corresponds to the case with the span-of-control channel shut down ($n^\alpha = 1$), while the blue line corresponds to the case with embedded intangibles shut down ($k = 1$). Appendix ?? provides details on the calculation of the model moments. The reported competitive threat measure is computed as the average at each scope level and then rescaled using a min-max normalization, $(x - \min x) / (\max x - \min x)$, to lie in $[0, 1]$, capturing relative variation across scope levels, with higher values indicating greater competitive pressure.

At narrow scope, incumbent firms invest more intensively in innovation, driving growth above the baseline. As scope broadens, however, these same firms erect progressively higher intangible-based entry barriers, compressing competitive threat and attenuating innovation incentives at the frontier. Growth therefore peaks at intermediate scope levels and declines thereafter, though it remains above the baseline throughout—the sole exception being single-product firms, where growth falls below both the baseline and the data.

When embedded intangibles are eliminated, the scope distribution is largely unchanged, and the markup profile is nearly flat across scope levels. The sharpest departure from the data arises along the competitive threat margin: without intangible-based entry barriers,

competitive threat diverges markedly from both the baseline and the empirical pattern.

The two counterfactuals reveal distinct and complementary roles: the span-of-control constraint disciplines scope expansion, generates the declining markup gradient, and shapes the inverted-U growth profile across scope levels, while embedded intangibles govern the competitive threat profile and underwrite aggregate innovation. Neither channel alone is sufficient to account for the full set of empirical regularities documented in Section 3.3.

5.2. Shutting Down Entry Barriers and Misallocation

Misallocation in the model operates through two distinct channels: markup dispersion across firms, and the joint entry barrier of scope and embedded intangibles that prevents potential entrants from capturing a market unless their total managerial capacity exceeds the incumbent's. To quantify the first channel, I adapt Peters (2020) and decompose aggregate output as $Y_t = Q_t \times E_t \times M_t \times S_t$, where Q captures quality improvements, M captures misallocation from markup dispersion, and E and S are residual terms.²³ The misallocation term M is defined as

$$M_t = \frac{\exp \left(\sum_m \sum_k \sum_n \ln \left[\frac{\phi(m, k, n)}{\sigma(m, k, n)} + (1 - \phi(m, k, n)) \right] \mu(m, k, n) \right)}{\sum_m \sum_k \sum_n \left(\frac{\phi(m, k, n)}{\sigma(m, k, n)} + (1 - \phi(m, k, n)) \right) \mu(m, k, n)},$$

namely the ratio of the geometric to the arithmetic mean of firm-level output shares, which endogenously evolves with markup dispersion.²⁴ To analyze the second channel, I conduct three counterfactual experiments that progressively dismantle the entry barriers

²³For details see Appendix B.6.

²⁴The term M differs slightly from Peters (2020): even with constant markups across superstar firms, dispersion between superstars and fringe firms persists through the market share ϕ .

embedded in the creative destruction conditions of the model.²⁵

The first removes only the scope component of the entry barrier, isolating the role of embedded intangibles in protecting incumbents. The second removes only the embedded intangible component, isolating the role of scope. The third eliminates both simultaneously, providing an upper bound on the allocative gains from barrier removal.

Table 2 presents the results. The baseline $M = 0.985$ confirms that markup dispersion alone generates only a modest output loss of around 1.5 percent, placing the primary source of misallocation in entry barriers rather than pricing distortions. Removing the scope barrier marginally improves M to 0.991 but lowers the growth rate from 0.012 to 0.011, suggesting that scope barriers, though mildly distortionary, discipline vertical innovation incentives by preserving the incumbent's managerial capacity advantage across existing production lines. The dominant finding is that eliminating the embedded intangible barrier raises the growth rate to 0.020 while improving M to 0.988, identifying the embedded dimension as the quantitatively decisive source of misallocation.

The embedded barrier is particularly binding for narrow-scope firms: an entrant competing against a single-sector superstar must match its entire embedded stock, whereas the scope barrier only constrains challengers at later stages of horizontal expansion, precisely when the span-of-control constraint has already attenuated innovation incentives independently. The two barriers therefore do not operate symmetrically, as the embedded barrier bites early when incentives are strongest, while the scope barrier bites late

²⁵*Counterfactual 1 (No Scope Barrier).* The scope component $n^{1-\alpha}$ is shut down by setting $n_s = n_{s'} = 1$ in both conditions. The displacement conditions for the challenger superstar and fringe reduce to

$$\lambda (\theta^{k_s})^\alpha > (\theta^{k_{s'}})^\alpha \quad \text{and} \quad \lambda^{\bar{m}} > (\theta^{k_{s'}})^\alpha.$$

Counterfactual 2 (No Embedded Barrier). The embedded intangible component $(\theta^k)^\alpha$ is shut down by setting $k_s = k_{s'} = 1$ in both conditions,

$$\lambda (n_s)^{1-\alpha} > (n_{s'})^{1-\alpha} \quad \text{and} \quad \lambda^{\bar{m}} > (n_{s'})^{1-\alpha}.$$

Counterfactual 3 (No Barriers). Both components are shut down simultaneously, so that any successful horizontal or fringe firm innovations immediately become the new incumbent regardless of the incumbent's embedded stock or scope:

$$\lambda > 1 \quad \text{and} \quad \lambda^{\bar{m}} > 1.$$

when they are already weak.²⁶ Figure C3 in the Appendix confirms this mechanism: removing the embedded barrier substantially raises both transferable intangible investment and horizontal innovation rates among single-scope.

Removing all barriers simultaneously achieves the highest $M = 0.993$ but reduces the growth rate to 0.010, as frictionless entry erodes the innovation rents sustaining the vertical quality ladder. This tradeoff reveals that entry barriers, while distortionary from an allocative standpoint, serve as a necessary incentive mechanism: their complete removal improves the static distribution of output across firms but undermines the dynamic forces driving long-run productivity growth through creative destruction.

Table 2. Misallocation and Growth Rate Under Different Entry Barrier Scenarios

	Baseline	No Scope Barrier (n)	No Embedded Barrier (k)	No Barriers
M	0.985	0.991	0.988	0.993
g	0.012	0.011	0.020	0.010

6. Policy Implications

The counterfactual analysis in Section 5.2 establishes that the embedded intangible barrier is the quantitatively dominant source of misallocation, binding most severely for narrow-scope superstar firms where innovation incentives are strongest. Directly taxing embedded intangibles or subsidizing narrow-scope superstar firms is not straightforward, however, since embedded intangibles are complementary to both vertical and horizontal innovation: any instrument that reduces their accumulation also attenuates the innovation incentives they underwrite. I therefore evaluate three policy instruments: a scope-dependent profit tax τ_{scope} , a horizontal investment tax τ_{hor} , and an embedded intangible investment tax τ_{emb} , each applied in isolation and combined with a flat subsidy to fringe entrants τ_f .

Following Berlingieri, De Ridder, Lashkari, and Rigo (2025), I adopt a threshold ap-

²⁶Figure C1 in the Appendix reports entry probabilities along the scope n and embedded intangible k dimensions for both challenger superstar and fringe firms.

proach and extend it to incorporate both taxes and subsidies. For the scope-dependent instruments (τ_{scope} and τ_{hor}), the policy is indexed by a scope threshold j : superstar firms with scope $n \leq j$ receive a subsidy of $+0.2$, while superstar firms with scope $n > j$ face a tax of -0.2 . For the embedded intangible instrument (τ_{emb}), the threshold is instead defined over the embedded intangible level k : superstar firms with $k \leq j$ receive a subsidy of $+0.2$, while superstar firms with $k > j$ face a tax of -0.2 . In both cases, the design spans the full range from a uniform tax to a uniform subsidy, with intermediate thresholds implementing progressively targeted redistribution.²⁷ Welfare effects are evaluated using a consumption-equivalence measure that quantifies the permanent percentage change in consumption leaving households indifferent between the baseline and the counterfactual.²⁸

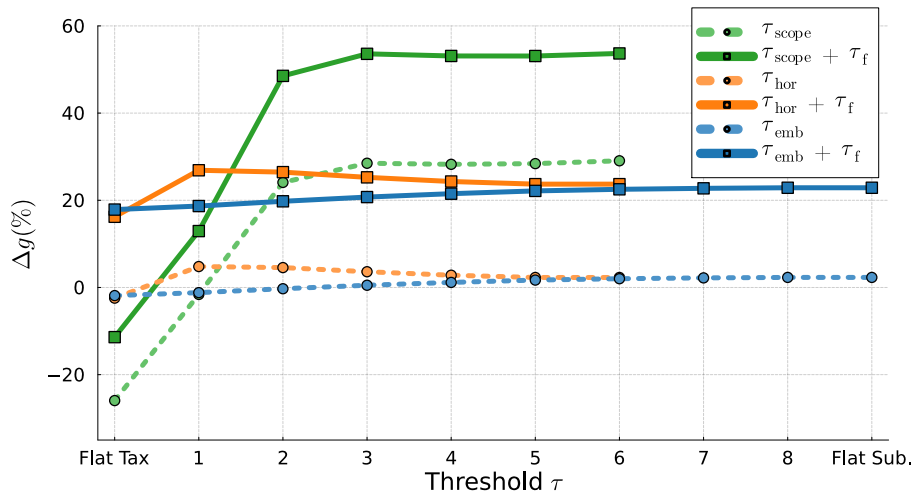


Figure 9. Flat and Progressive Policies Effect on Growth Rate

Note: Each line reports the percentage change in the aggregate growth rate $\Delta g(\%)$ relative to the baseline under alternative policy designs. Three policy instruments are considered: a scope tax τ_{scope} , a horizontal investment tax τ_{hor} , and an embedded intangible investment tax τ_{emb} , each applied in isolation (dashed lines) or combined with a flat subsidy to fringe firms τ_f (solid lines). The horizontal axis indexes the progressivity threshold τ : at the left endpoint (Flat Tax), all firms face a uniform tax regardless of scope; as τ increases, the tax applies only to firms with scope above the threshold, exempting smaller firms; at the right endpoint (Flat Sub.). Detailed thresholds and corresponding numerical results are reported in Appendix C1

Figures 9 and 10 reveal a striking disconnect between growth and welfare across pol-

²⁷Net tax revenue, defined as the difference between taxes collected and subsidies disbursed, is redistributed to households through lump-sum transfers when positive, and financed by lump-sum levies on households when negative.

²⁸See Appendix B.7 for details.

icy designs. The scope tax combined with the fringe subsidy delivers the largest aggregate growth gains at intermediate thresholds, exceeding 50% above baseline, yet the highest welfare gain is achieved by a different design: setting the threshold at $j = 1$, so that single-sector superstar firms receive a subsidy while all superstar firms with $n > 1$ face a tax, combined with the fringe subsidy τ_f . This policy generates a welfare gain of approximately 20%, substantially exceeding all other configurations.

The intuition is precise. Subsidizing single-sector superstar firms operates across all three innovation margins simultaneously: it strengthens vertical quality improvement, encourages horizontal scope expansion, and raises the return to embedded intangible accumulation, since all three are complementary at narrow scope and this is exactly where embedded intangible barriers bind most severely. Policies that instead generate the highest growth rates, in particular flat scope taxes that push superstar incumbents toward vertical innovation, require large upfront investment costs that erode household consumption in the short run. The progressive design with $j = 1$ avoids this tradeoff by encouraging broad-based investment at low cost while taxing wide-scope superstar incumbents, collecting revenue redistributed to households and sustaining consumption alongside growth.

The fringe subsidy τ_f is a necessary complement to any of the three instruments: without it, taxing superstar incumbents merely transfers rents without improving the efficiency of creative destruction, generating welfare losses or negligible gains. This reflects the role of fringe firms as the fastest-growing firms in the economy, since restoring their competitive margin against superstar incumbents generates disproportionate aggregate gains that no incumbent-facing instrument alone can replicate. Among instruments combined with τ_f , the embedded intangible and horizontal investment taxes ($\tau_{\text{emb}} + \tau_f$ and $\tau_{\text{hor}} + \tau_f$) deliver stable positive welfare gains across all thresholds but remain uniformly below the progressive scope tax at $j = 1$. This ranking reflects the targeting advantage of the scope design: conditioning the exemption on firm scope directly addresses the misallocation margin identified in Section 5.2, whereas profit taxes correct intangible accumulation distortions without providing the expansion incentive that single-sector superstar

firms require to overcome entry barriers.

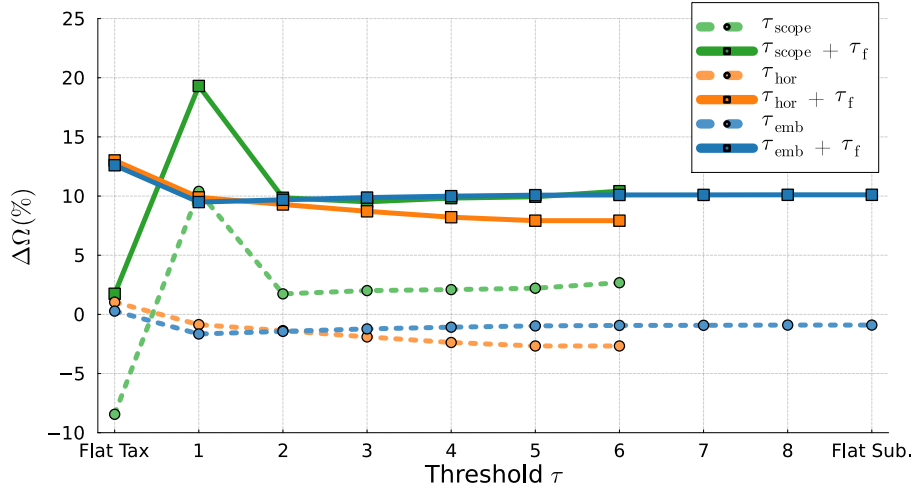


Figure 10. Flat and Progressive Policies Effect on Welfare

Note: Each line reports the percentage change in consumption equivalence welfare $\Delta\Omega(\%)$ relative to the baseline under alternative policy designs. Three policy instruments are considered: a scope tax τ_{scope} , a horizontal investment tax τ_{hor} , and an embedded intangible investment tax τ_{emb} , each applied in isolation (dashed lines) or combined with a flat subsidy to fringe firms τ_f (solid lines). The horizontal axis indexes the progressivity threshold τ : at the left endpoint (Flat Tax), all firms face a uniform tax regardless of scope; as τ increases, the tax applies only to firms with scope above the threshold, exempting smaller firms; at the right endpoint (Flat Sub.). Detailed thresholds and corresponding numerical results are reported in Appendix C1

7. Conclusion

This paper establishes a unified endogenous growth model in which the direction of innovative effort emerges endogenously from firms' expansion decisions. Horizontal expansion introduces span-of-control frictions that reduce managerial quality per sector and lower per-sector profitability. In response, multi-sector firms systematically reallocate investment away from transferable intangibles, which generate knowledge spillovers and fuel creative destruction, and toward embedded intangibles, which provide firm-specific competitive advantages. This reallocation is self-reinforcing: broader scope raises the return to embedded intangibles through economies of scope, inducing further investment in brand value and organizational capital, which in turn lowers the cost of entering additional sectors. As scope and embedded intangible stock grow jointly, the incumbent superstar's total managerial capacity increases, raising entry barriers and suppressing creative destruction — generating a wedge between private and social returns that instru-

ments conditioned on firm size alone cannot correct.

This framework suggests several directions for future research. First, incorporating the evolution of firm scope over the lifecycle would permit a richer analysis of dynamic market segmentation strategies and their long-run consequences for the direction and pace of innovation. Second, a formal comparison between the decentralized equilibrium and a social planner's solution would allow for the precise derivation of optimal policy instruments to address the spillover frictions generated by diversification. Third, the model generates testable predictions regarding how firms respond endogenously to span-of-control constraints — micro-econometric work could examine the relative efficacy of organizational redesign, investment in information technology, and human capital accumulation as adaptive strategies. Finally, a critical open question is whether embedded intangible capital slows idea diffusion by limiting knowledge spillovers. Addressing this with richer microdata and dynamic structural methods will be essential for designing policies that balance the private gains from diversification against the broader social returns to innovation and competition.

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Appendices

A. Empirical Appendix

A.1. Dataset

Table A1. Example Firms Segment in Compustat Segment Dataset

Company	Segments
TOYOTA MOTOR CORP	Financial Services
	Automotive
	All Other
PROCTER & GAMBLE CO	Health Care
	Grooming
	Corporate
	Beauty
	Baby, Feminine & Family Care
TESLA INC	Fabric & Home Care
	Energy Generation & Storage
	Automotive

A.2. Measurement Details

I employ the approach of [Akerberg, Caves, and Frazer \(2015\)](#) (ACF) to estimate firm-level total factor productivity. The sample covers 1990–2019. The finance and utilities sectors are excluded from all analyses, and estimations are conducted separately for each 2-digit NAICS industry. The gross-output production function is specified as

$$Y_{it} = F(L_{it}, K_{it}, M_{it}) + \omega_{it} + \epsilon_{it}, \quad (38)$$

where Y_{it} is (log) gross output (sale), L_{it} is labor (emp), K_{it} is capital (ppeg), and M_{it} denotes flexible (intermediate) inputs (cogs). The term ω_{it} denotes an unobserved firm productivity shock that is observed by firms when choosing inputs, and ϵ_{it} is an iid error term.

A central identification challenge in proxy-variable approaches is the collinearity problem identified by ACF: when labor is chosen at the same time as the proxy variable, its coefficient is not separately identified in the first stage. ACF resolve this by deferring identification of all input coefficients to the second stage, using only the proxy inversion in the first stage to control for unobserved productivity.

Empirical proxy: I use capital expenditure (capx) as the proxy variable. Under the assumption that investment is a monotone function of the productivity state ω_{it} and the capital stock K_{it} , this inversion yields $\omega_{it} = h(K_{it}, \text{capx}_{it})$, which is approximated parametrically in the first stage.

Table A2. Regression Results: Compustat Dataset

Panel A: Markup and Productivity

	Pooled OLS		Two-way FE	
	(2) <i>Markup</i>	(3) <i>Productivity</i>	(6) <i>Markup</i>	(7) <i>Productivity</i>
Production Lines	−0.099*** (0.007)	−0.056*** (0.010)	−0.111*** (0.008)	−0.032*** (0.004)
Num. Obs.	40,517	40,517	40,517	40,517
Adj. R^2	0.042	0.025	0.111	0.808
Covariates	Yes	Yes	Yes	Yes
FE: <i>Year</i>	No	No	Yes	Yes
FE: <i>Industry</i>	No	No	Yes	Yes

Panel B: Investment Ratio and Fluidity

	Pooled OLS		Two-way FE	
	(1) <i>Transferable/Embedded</i>	(4) <i>Comp. Threat</i>	(5) <i>Transferable/Embedded</i>	(8) <i>Comp. Threat</i>
Production Lines	−0.092*** (0.008)	−0.449*** (0.031)	−0.100*** (0.009)	−0.302*** (0.033)
Num. Obs.	41,071	30,403	41,071	30,403
Adj. R^2	0.085	0.043	0.127	0.169
Covariates	Yes	Yes	Yes	Yes
FE: <i>Year</i>	No	No	Yes	Yes
FE: <i>Industry</i>	No	No	Yes	Yes

Notes: Each column reports coefficients from a separate regression. Standard errors are clustered by *firm id* in parentheses. Significance levels: * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$. Columns 1–4: Pooled OLS specifications; Columns 5–8: Two-way fixed effects (year and industry).

A.3. Additional Figures and Empirical Results

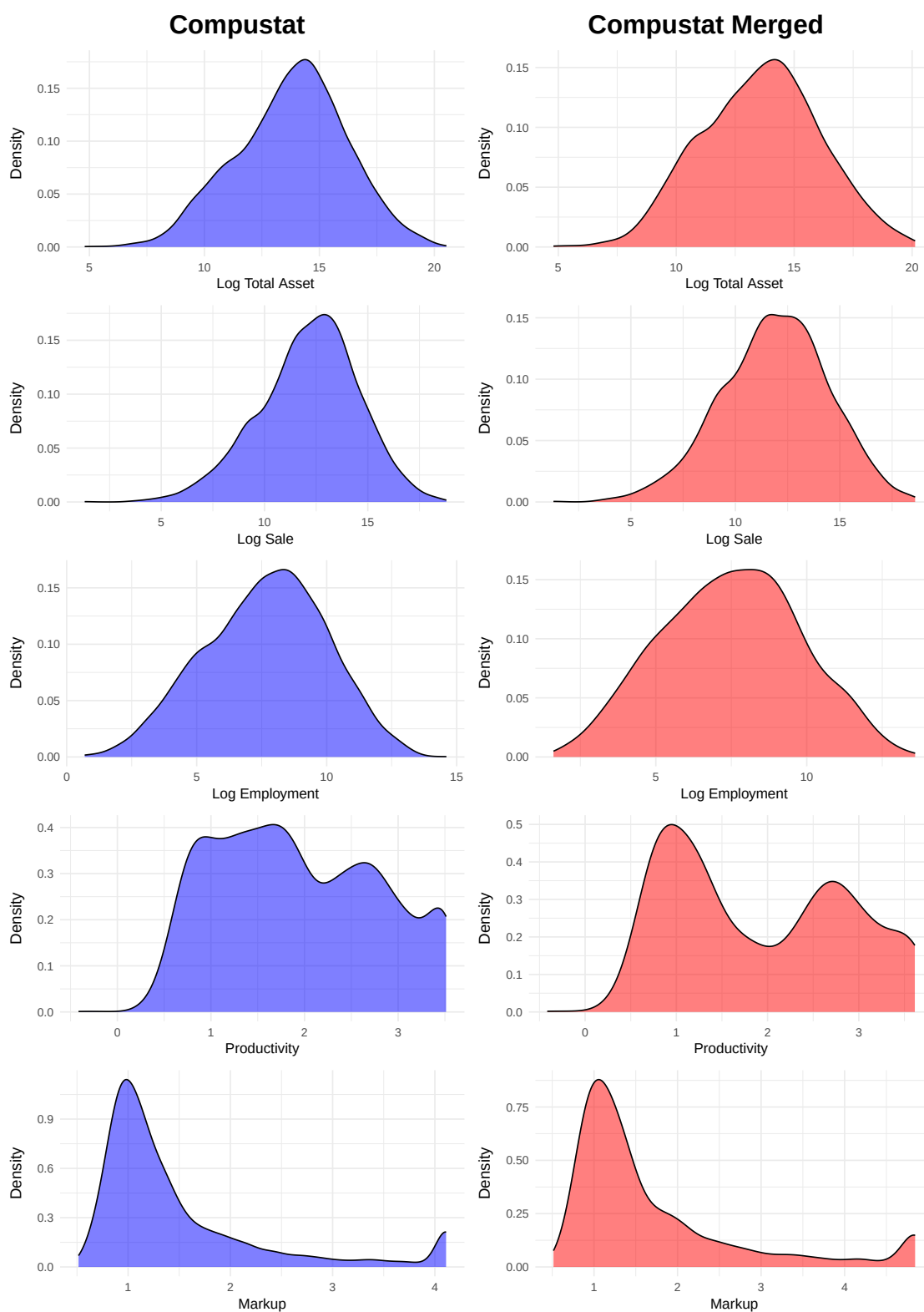


Figure A1. Density Comparison Compustat and Compustat Merged

Note: Both datasets exclude utilities and finance sectors, and all variables are measured for the 2019 cross-section. The Compustat merged dataset further excludes firms with missing or non-positive R&D, SG&A, and segment information.

B. Model Appendix

B.1. Final Good Sector Demand

The final good sector's profit maximization problem is:

$$\max_{y_{jt}} \exp \left(\int_0^1 \ln y_{jt} dj \right) - \int_0^1 p_{jt} y_{jt} dj. \quad (39)$$

The first-order condition yields the inverse demand function for each intermediate good j :

$$p_{jt} = \frac{Y_t}{y_{jt}}. \quad (40)$$

B.2. Intermediate Good Sector Demand

The cost minimization problem for the intermediate sector j is:

$$\min_{y_{sjt}, y_{fjt}} p_{sjt} y_{sjt} + p_{fjt} y_{fjt} \quad s.t. \quad y_{jt} = \left(\Xi(e_s) y_{sjt}^\varepsilon + (1 - \Xi(e_s)) y_{fjt}^\varepsilon \right)^{\frac{1}{\varepsilon}}. \quad (41)$$

The first-order condition with respect to the superstar firm's output y_{sjt} is:

$$p_{sjt} = \lambda \Xi(e_s) y_{jt}^{1-\varepsilon} y_{sjt}^{\varepsilon-1}, \quad (42)$$

where λ is the Lagrange multiplier. Raising both sides to the power of $\frac{\varepsilon}{\varepsilon-1}$ and simplifying allows to solve for the ideal price index p_j for sector j :

$$\lambda = \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s))^{\frac{-1}{\varepsilon-1}} p_{fjt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{\frac{\varepsilon-1}{\varepsilon}} \equiv p_j. \quad (43)$$

Substituting $\lambda = p_j$ back into the first-order condition yields the inverse demand function faced by the superstar firm:

$$p_{sjt} = p_j \Xi(e_s) y_{jt}^{1-\varepsilon} y_{sjt}^{\varepsilon-1}. \quad (44)$$

Finally, substituting the final good producer's demand $y_{jt} = Y_t/p_j$ and solving for $y_{s jt}$ provides demand function:

$$y_{s jt} = p_j^{\frac{\varepsilon}{1-\varepsilon}} \Xi(e_s)^{\frac{1}{1-\varepsilon}} p_{s jt}^{\frac{1}{\varepsilon-1}} Y_t. \quad (45)$$

B.3. Superstar Firm Maximization Problem: Bertrand Competition

The superstar firm competes à la Bertrand with a continuum of fringe firms. Its profit maximization problem in industry j is:

$$\max_{p_{s jt}} (p_{s jt} - MC_{s jt}) y_{s jt} \quad s.t. \quad y_{s jt} = p_j^{\frac{\varepsilon}{1-\varepsilon}} \Xi(e_s)^{\frac{1}{1-\varepsilon}} p_{s jt}^{\frac{1}{\varepsilon-1}} Y_t. \quad (46)$$

Substituting the expression for p_j into the demand function, the objective function can be expanded as:

$$\max_{p_{s jt}} \left[p_{s jt}^{\frac{\varepsilon}{\varepsilon-1}} \Xi(e_s)^{\frac{1}{1-\varepsilon}} Y_t \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} p_{s jt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s)) p_{f jt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{-1} \right] \quad (47)$$

$$- MC_{s jt} \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} p_{s jt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s)) p_{f jt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{-1} p_{s jt}^{\frac{1}{\varepsilon-1}} \Xi(e_s)^{\frac{1}{1-\varepsilon}} Y_t \right]. \quad (48)$$

After computing the derivative and factoring common terms, this condition can be expressed as:

$$\begin{aligned} \frac{\partial \pi}{\partial p_{s jt}} = & Y_t \Xi(e_s)^{\frac{1}{1-\varepsilon}} \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} p_{s jt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s)) p_{f jt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{-1} \times \left\{ \left[\frac{\varepsilon}{\varepsilon-1} p_{s jt}^{\frac{1}{\varepsilon-1}} - MC_{s jt} \frac{1}{\varepsilon-1} p_{s jt}^{\frac{2-\varepsilon}{\varepsilon-1}} \right] \right. \\ & \left. - \left(p_{s jt}^{\frac{\varepsilon}{\varepsilon-1}} - MC_{s jt} p_{s jt}^{\frac{1}{\varepsilon-1}} \right) \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} \frac{\varepsilon}{\varepsilon-1} p_{s jt}^{\frac{1}{\varepsilon-1}} \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} p_{s jt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s)) p_{f jt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{-1} \right) \right\}. \end{aligned} \quad (49)$$

$$0 = \left[\frac{\varepsilon}{\varepsilon - 1} p_{sjt}^{\frac{1}{\varepsilon-1}} - MC_{sjt} \frac{1}{\varepsilon - 1} p_{sjt}^{\frac{2-\varepsilon}{\varepsilon-1}} \right] - \left(p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} - MC_{sjt} p_{sjt}^{\frac{1}{\varepsilon-1}} \right) \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} \frac{\varepsilon}{\varepsilon - 1} p_{sjt}^{\frac{1}{\varepsilon-1}} \left(\Xi(e_s)^{\frac{-1}{\varepsilon-1}} p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} + (1 - \Xi(e_s)) p_{fjt}^{\frac{\varepsilon}{\varepsilon-1}} \right)^{-1} \right). \quad (50)$$

To simplify, multiply both sides by p_{sjt} and substitute the market share definition ϕ_{sjt} from (19), yielding:

$$\left(p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} - MC_{sjt} p_{sjt}^{\frac{1}{\varepsilon-1}} \right) \left(\phi_{sjt} \frac{\varepsilon}{\varepsilon - 1} \right) = \left[\frac{\varepsilon}{\varepsilon - 1} p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} - MC_{sjt} \frac{1}{\varepsilon - 1} p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}} \right]. \quad (51)$$

First, divide both sides by $p_{sjt}^{\frac{\varepsilon}{\varepsilon-1}}$, then by $\frac{\varepsilon}{\varepsilon-1}$. After rearranging terms, the expression simplifies to:

$$\varepsilon(1 - \phi_{sjt}) = \frac{MC_{sjt}}{p_{sjt}} (1 - \varepsilon \phi_{sjt}). \quad (52)$$

Solving for the optimal price p_{sjt} gives:

$$p_{sjt} = \frac{1 - \varepsilon \phi_{sjt}}{\varepsilon(1 - \phi_{sjt})} \cdot MC_{sjt}. \quad (53)$$

To determine the optimal labor demand, equating output (6) and demand (45) yields

$$q_{sjt} \psi(e_s, n_s) l_{sjt} = p_j^{\frac{\varepsilon}{1-\varepsilon}} \chi(e_s)^{\frac{1}{1-\varepsilon}} p_{sjt}^{\frac{1}{\varepsilon-1}} Y_t. \quad (54)$$

Multiplying both sides by p_{sjt} and dividing by w_t gives

$$p_{sjt} \underbrace{\frac{q_{sjt} \psi(e_s, n_s)}{w_t}}_{\text{inverse } MC_{sjt}} l_{sjt} = \underbrace{p_j^{\frac{\varepsilon}{1-\varepsilon}} \chi(e_s)^{\frac{1}{1-\varepsilon}} p_{sjt}^{\frac{1}{\varepsilon-1}}}_{\phi_{sjt}} \underbrace{\frac{Y_t}{w_t}}_{\omega_t^{-1}}. \quad (55)$$

This expression leads directly to equation (23).

B.4. Superstar Firm Maximization Problem: Cournot Competition

In the à la Cournot setup, a superstar firm and a continuum of fringe firms compete by choosing quantities to sell rather than engaging in price competition as in the à la

Bertrand case. Its profit-maximization problem in industry j is

$$\max_{y_{sjt}} \pi_{sjt} = \max_{y_{sjt}} (p_{sjt} - MC_{sjt}) y_{sjt}, \quad (56)$$

$$s.t. \quad p_{sjt} = \chi(e_s) y_{jt}^{-\varepsilon} y_{sjt}^{\varepsilon-1} Y_t, \quad \text{and} \quad y_{jt} = (\chi(e_s) y_{sjt}^{\varepsilon} + y_{fjt}^{\varepsilon})^{1/\varepsilon}. \quad (57)$$

Differentiate the profit function with respect to y_{sjt} :

$$\frac{d\pi_{sjt}}{dy_{sjt}} = (p_{sjt} - MC_{sjt}) + y_{sjt} \frac{dp_{sjt}}{dy_{sjt}} = 0. \quad (58)$$

Differentiate the inverse demand (57) to obtain

$$\frac{dp_{sjt}}{dy_{sjt}} = p_{sjt} \left(-\varepsilon \frac{1}{y_{jt}} \frac{dy_{jt}}{dy_{sjt}} + \frac{\varepsilon - 1}{y_{sjt}} \right). \quad (59)$$

Differentiate y_{jt} with respect to y_{sjt} :

$$\frac{dy_{jt}}{dy_{sjt}} = \chi(e_s) y_{sjt}^{\varepsilon-1} y_{jt}^{1-\varepsilon}. \quad (60)$$

Substituting (60) and (57) into (58) yields

$$(p_{sjt} - MC_{sjt}) + y_{sjt} p_{sjt} \left(-\varepsilon \chi(e_s) y_{sjt}^{\varepsilon-1} y_{jt}^{-\varepsilon} + \frac{\varepsilon - 1}{y_{sjt}} \right) = 0. \quad (61)$$

Using the market-share definition

$$\frac{p_{sjt} y_{sjt}}{Y_t} = \chi(e_s) y_{sjt}^{\varepsilon} y_{jt}^{-\varepsilon},$$

and dividing both sides by p_{sjt} , rearrangement gives the inverse markup condition

$$\frac{MC_{sjt}}{p_{sjt}} = \varepsilon(1 - \phi_{sjt}). \quad (62)$$

The relative price ratio between fringe and superstar firms is therefore

$$\frac{p_{fjt}}{p_{sjt}} = \frac{1 - \phi_{sjt}}{\phi_{sjt}} \frac{MC_{fjt}}{MC_{sjt}}. \quad (63)$$

Using the inverse demand expressions leads to

$$\chi(e_s) \left(\frac{y_{fjt}}{y_{sjt}} \right)^{\varepsilon-1} = \frac{1 - \phi_{sjt}}{\phi_{sjt}} \frac{MC_{fjt}}{MC_{sjt}}. \quad (64)$$

Substituting the marginal-cost expressions for the fringe and superstar firms yields

$$\left(\frac{y_{fjt}}{y_{sjt}} \right)^{\varepsilon-1} = \frac{1}{\chi(e_s)} \frac{1 - \phi_{sjt}}{\phi_{sjt}} \frac{1}{\lambda^{m_j} \psi(e_s, n_s)}. \quad (65)$$

Equation (65) shows that the relative output depends on the market share, the quality gap, the embedded intangible level, and the firm's production-line parameter. Rearranging the market-share definition gives

$$\chi(e_s) y_{sjt}^{\varepsilon} y_{jt}^{-\varepsilon} = \frac{\chi(e_s) y_{sjt}^{\varepsilon}}{\chi(e_s) y_{sjt}^{\varepsilon} + y_{fjt}^{\varepsilon}} = \frac{1}{1 + \frac{1}{\chi(e_s)} \left(\frac{y_{fjt}}{y_{sjt}} \right)^{\varepsilon}}, \quad (66)$$

which shows that market share depends on the output gap and the embedded intangible level. Therefore, the output gap depends on the quality gap, the embedded intangible level, and the number of production lines associated with superstar s .

B.5. Aggregate Output and Growth Rate

Using the superstar (6) and fringe firm (7) output equations into (3) gives

$$Y_t = \exp \left(\int_0^1 \ln \left[(\xi e_{st})^{\beta} \left(q_{sjt} \frac{((1 - \xi) e_{st})^{\alpha}}{\gamma n_{st}^{\alpha_s}} l_{sjt} \right)^{\varepsilon} + (q_{fjt} l_{fst})^{\varepsilon} \right]^{1/\varepsilon} dj \right)$$

$$Y_t = \exp \left(\int_0^1 \ln \left[\left(q_{sjt}^{\varepsilon} \left((\xi e_{st})^{\beta} \left(\frac{((1 - \xi) e_{st})^{\alpha}}{\gamma n_{st}^{\alpha_s}} l_{sjt} \right)^{\varepsilon} + (\lambda^{-m_{jt}} l_{fst})^{\varepsilon} \right) \right) \right]^{1/\varepsilon} dj \right)$$

$$= \underbrace{\exp \left(\int_0^1 \ln q_{sjt} dj \right)}_{Q_t} \exp \left(\int_0^1 \ln \left[((\xi e_{st})^\beta \left(\frac{((1-\xi)e_{st})^\alpha}{\gamma n_{st}^{\alpha_s}} l_{sjt} \right)^\varepsilon + (\lambda^{-m_{jt}} l_{fst})^\varepsilon)^\frac{1}{\varepsilon} dj \right] \right), \quad (67)$$

and , along with the labor demands in (23) and (??), and factoring out ω_t^{-1} , aggregate output can be expressed as

$$Y_t = Q_t \omega_t^{-1} \exp \left(\int_0^1 \ln \left[(\xi e_{st})^\beta \left(\frac{((1-\xi)e_{st})^\alpha \phi_{sjt}}{\gamma n_{st}^{\alpha_s} \sigma_{sjt}} \right)^\varepsilon + (\lambda^{-m_{jt}} (1 - \phi_{sjt}))^\varepsilon \right]^\frac{1}{\varepsilon} dj \right). \quad (68)$$

Because everything in the integrand depends only on the gaps (m, k, n) , the expression can be written in discrete state space as

$$Y_t = Q_t \omega_t^{-1} \exp \left(\underbrace{\sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \ln \left[(\xi \theta^k)^\beta \left(\frac{((1-\xi)\theta^{kt})^\alpha \phi_t(m, k, n)}{\gamma n_{st}^{\alpha_s} \sigma_t(m, k, n)} \right)^\varepsilon + (\lambda^{-m_t} (1 - \phi_t(m, k, n)))^\varepsilon \right]^\frac{1}{\varepsilon}}_{\equiv R_t(m, k, n)} \mu_t(m, k, n) \right). \quad (69)$$

$$\begin{aligned} \ln Y_{t+\Delta t} - \ln Y_t &= (\ln Q_{t+\Delta t} - \ln Q_t) + \ln \omega_t - \ln \omega_{t+\Delta t} \\ &\quad + \sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \left(R_{t+\Delta t}(m, k, n) - R_t(m, k, n) \right) \left(\mu_{t+\Delta t}(m, k, n) - \mu_t(m, k, n) \right) + o(\Delta t). \end{aligned} \quad (70)$$

where

$$\begin{aligned} \ln Q_{t+\Delta t} - \ln Q_t &= \ln \lambda \left[\sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \left(z_t^{Int}(m, k, n) + p_{s \geq s'}^{Ex} z_t^{Ex}(m, k, n) + Z_t^f(m, k, n) \right) \mu_t(m, k, n) \right] \Delta t \\ &\quad + o(\Delta t). \end{aligned} \quad (71)$$

Dividing by Δt and taking the limit $\Delta t \rightarrow 0$, the growth rate of the economy is

$$g_t = -g_{\omega,t} + g_{Q,t} + g_{R,t}. \quad (72)$$

In the steady state, the distribution $\mu_t(m, k, n)$ is constant, implying that R_t is constant. Wages grow at the same rate as output, so the real wage remains constant. Therefore, in steady state the growth rate of the economy is determined solely by quality improvements:

$$g = g_Q = \ln \lambda \left[\sum_{m=1}^{\bar{m}} \sum_{k=1}^{\bar{k}} \sum_{n=1}^{\bar{n}} \left(z^{\text{Int}}(m, k, n) + p_{s \geq s'}^{\text{Ex}} z^{\text{Ex}}(m, k, n) + Z^f(m, k, n) \right) \mu(m, k, n) \right]. \quad (73)$$

B.6. Decomposition of Output

Starting from (68) and factoring out the term $\Xi(e_{st}) \left(\frac{((1-\xi)e_{st})^\alpha}{\gamma n_{st}^{\alpha_s}} \right)$, aggregate output can be written as

$$Y_t = Q_t \omega_t^{-1} E_t \exp \left(\int_0^1 \ln \left[\left(\frac{\phi_{s jt}}{\sigma_{s jt}} \right)^\varepsilon + \frac{1}{(\xi e_{st})^\beta} \left(\frac{\gamma n_{st}^{\alpha_s}}{((1-\xi)e_{st})^\alpha} \lambda^{-m_{jt}} (1 - \phi_{s jt}) \right)^\varepsilon \right]^{1/\varepsilon} dj \right). \quad (74)$$

Define the multiplicative factor that collects the factored-out terms as

$$E_t = \exp \left(\int_0^1 \ln \left[\Xi(e_{st}) \left(\frac{((1-\xi)e_{st})^\alpha}{\gamma n_{st}^{\alpha_s}} \right)^\varepsilon \right]^{1/\varepsilon} dj \right). \quad (75)$$

Next multiply and divide the integrand by the linear weight $\frac{\phi_{s jt}}{\sigma_{s jt}} + (1 - \phi_{s jt})$. After this algebraic step I obtain a decomposition that isolates a simple mean term and a residual term:

$$Y_t = Q_t E_t \omega_t^{-1} \exp \left(\int_0^1 \ln \left[\frac{\phi_{s jt}}{\sigma_{s jt}} + (1 - \phi_{s jt}) \right] dj \right) \times \exp \left(\int_0^1 \ln \left[\frac{\left(\frac{1}{\gamma n_{st}^{\alpha_s}} \frac{\phi_{s jt}}{\sigma_{s jt}} \right)^\varepsilon + \frac{1}{(\xi e_{st})^\beta} \left(\frac{1}{((1-\xi)e_{st})^\alpha} \lambda^{-m_{jt}} (1 - \phi_{s jt}) \right)^\varepsilon}{\frac{\phi_{s jt}}{\sigma_{s jt}} + (1 - \phi_{s jt})} \right]^{1/\varepsilon} dj \right). \quad (76)$$

Finally, using (33) and defining the multiplicative mean term

$$M_t = \frac{\exp\left(\int_0^1 \ln \left[\frac{\phi_{sjt}}{\sigma_{sjt}} + (1 - \phi_{sjt}) \right] dj\right)}{\int_0^1 \left[\frac{\phi_{sjt}}{\sigma_{sjt}} + (1 - \phi_{sjt}) \right] dj}, \quad (77)$$

the output decomposition can be written as

$$Y_t = Q_t \times E_t \times M_t \times S_t,$$

where

$$S_t = \exp \left(\int_0^1 \ln \left[\frac{\left(\frac{1}{\gamma n_{st}^{\alpha_s}} \frac{\phi_{sjt}}{\sigma_{sjt}} \right)^\varepsilon + \frac{1}{(\xi e_{st})^\beta} \left(\frac{1}{((1 - \xi)e_{st})^\alpha} \lambda^{-m_{jt}} (1 - \phi_{sjt}) \right)^\varepsilon}{\frac{\phi_{sjt}}{\sigma_{sjt}} + (1 - \phi_{sjt})} \right]^{1/\varepsilon} dj \right). \quad (78)$$

B.7. Consumption Equivalence Welfare Measure

On the balanced growth path, consumption grows at rate g , so that $C(t) = C_0 \exp(gt)$.²⁹

Defining welfare Ω as the present value of lifetime utility from consumption yields:

$$\Omega = \int_0^\infty e^{-\rho t} \ln(C(t)) dt \quad (80)$$

$$= \ln(C_0) \int_0^\infty e^{-\rho t} dt + g \int_0^\infty t e^{-\rho t} dt. \quad (81)$$

²⁹The C_0 consumption level is given by:

$$C_0 = Y_0 - \int_0^1 \left(I_0^{\text{Int}} + I_0^{\text{Emb}} + I_0^{\text{Ex}} + I_0^f \right) dj + G_0. \quad (79)$$

In this equation, the subscript 0 represents calibrated optimum values on the balanced growth path, and G is the lump-sum transfer of government taxes.

Solving these integrals gives:

$$\Omega = \frac{\ln(C_0)}{\rho} + \frac{g}{\rho^2} \quad (82)$$

$$= \frac{1}{\rho} \left(\ln C_0 + \frac{g}{\rho} \right). \quad (83)$$

Equivalent Welfare Changes Between Economies To compare welfare between two economies—a calibrated benchmark economy (Cal) and a taxed economy (Tax) on their respective balanced growth paths—I compute the percentage change δ in lifetime consumption that would make households indifferent between the two. The required compensation δ satisfies:

$$\Omega^{\text{Tax}} = \frac{1}{\rho} \left(\ln (C_0^{\text{Cal}}(1 + \delta)) + \frac{g^{\text{Cal}}}{\rho} \right). \quad (84)$$

Solving equation (84) for δ :

$$\frac{\ln C_0^{\text{Tax}}}{\rho} + \frac{g^{\text{Tax}}}{\rho^2} = \frac{\ln [C_0^{\text{Cal}}(1 + \delta)]}{\rho} + \frac{g^{\text{Cal}}}{\rho^2} \quad (85)$$

$$\ln \left(\frac{C_0^{\text{Tax}}}{C_0^{\text{Cal}}} \right) + \frac{g^{\text{Tax}} - g^{\text{Cal}}}{\rho} = \ln(1 + \delta) \quad (86)$$

$$\delta = \frac{C_0^{\text{Tax}}}{C_0^{\text{Cal}}} \exp \left(\frac{g^{\text{Tax}} - g^{\text{Cal}}}{\rho} \right) - 1. \quad (87)$$

If $\delta > 0$: households require compensation to remain in the benchmark economy (Cal).

If $\delta < 0$: households would pay to move to the taxed economy (Tax).

C. Numerical Appendix

C.1. Additional Numerical Results

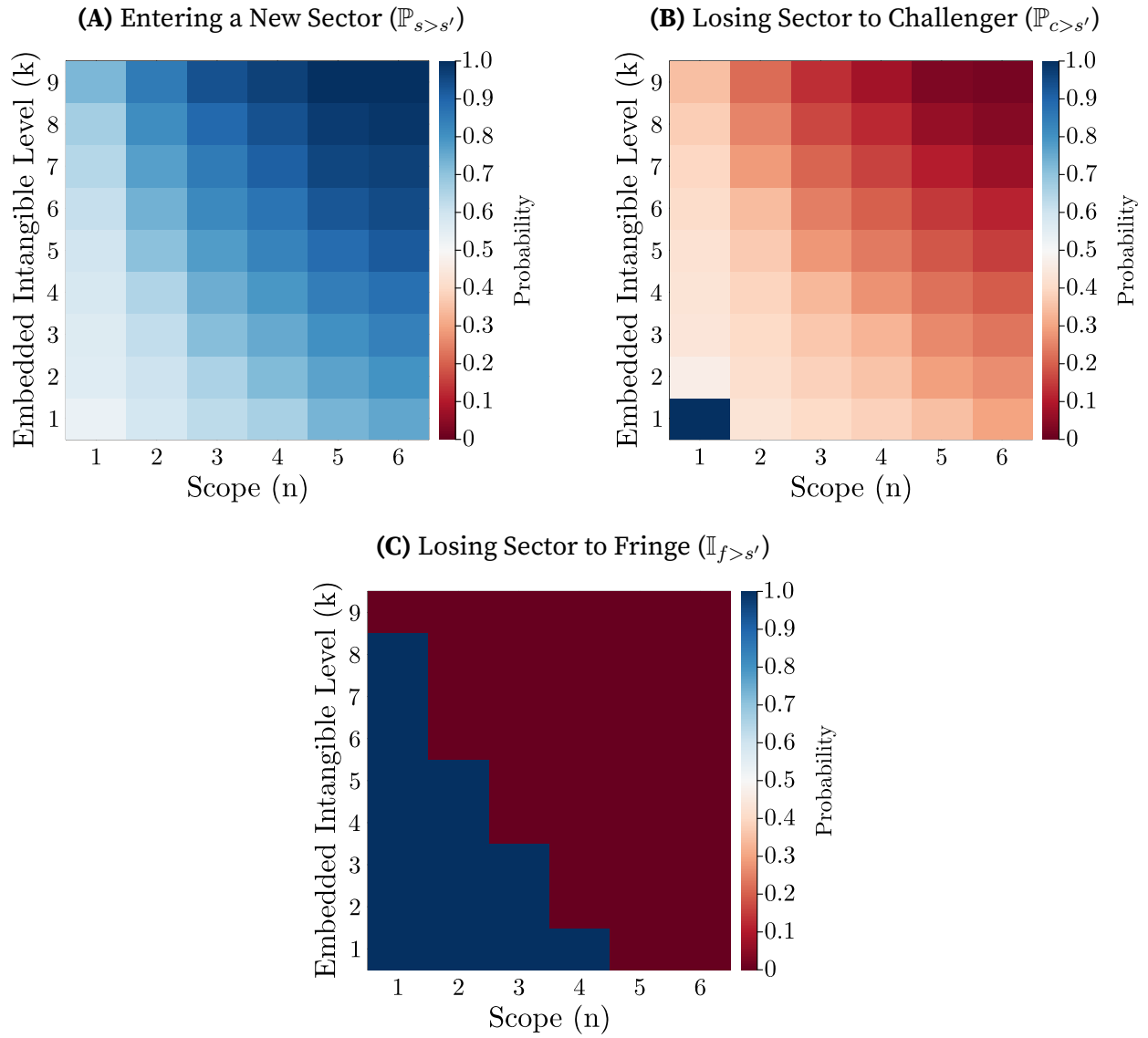


Figure C1. Superstar Firm Entry and Displacement Probabilities

Note: Each panel displays a probability evaluated over the (n, k) grid, where the horizontal axis reports firm scope n and the vertical axis reports the embedded intangible level k . Darker blue indicates higher probability and darker red indicates lower probability.

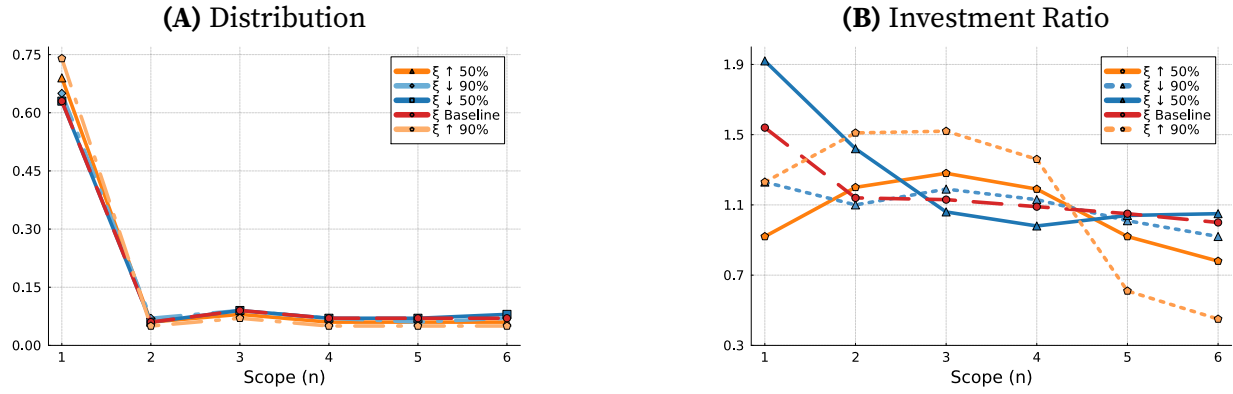


Figure C2. Impact of ξ on Distribution and Investment Ratio

Note: Each panel reports variables as a function of firm scope n under symmetric perturbations of the parameter ξ relative to the baseline calibration. The dotted lines correspond to larger perturbations ($\xi \uparrow 90\%$ and $\xi \downarrow 90\%$), while the solid lines correspond to smaller perturbations ($\xi \uparrow 50\%$ and $\xi \downarrow 50\%$). Upward perturbations are shown in orange, while downward perturbations are shown in blue. The baseline is shown as a red dashed line.

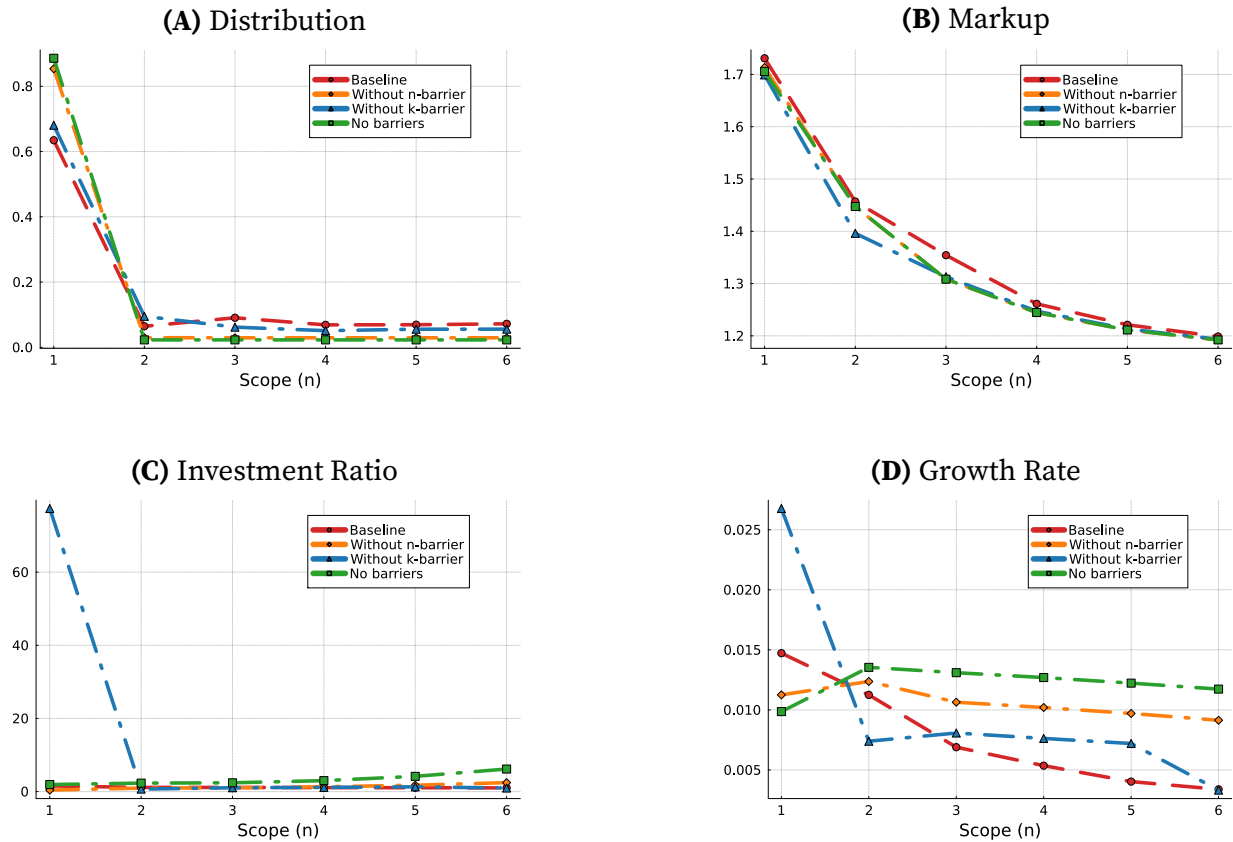


Figure C3. Removing Entry Barrier Scenarios

Note: The green line represents the internally calibrated optimal value of ξ , while the blue line shows an upward shift in ξ and the orange line shows a downward shift. The horizontal axis corresponds to the production line dimension.

Table C1. Policy Experiments: Growth and Welfare Effects ($|\tau| = 0.2$)

Pattern	Without Subsidizing Fringe Firms				With Subsidizing Fringe Firms $\tau_f = 0.2$			
	$\Delta g\%$	$\Omega\%$	C_{new}/C_0	$\exp(\Delta g/\rho)$	$\Delta g\%$	$\Omega\%$	C_{new}/C_0	$\exp(\Delta g/\rho)$
Panel A: τ_{scope} only								
All +0.2	-25.946	-8.443	0.973	0.942	-11.395	2.425	1.052	0.974
First 1 = -0.2, rest +0.2	-1.595	10.396	1.108	0.996	12.934	22.675	1.191	1.030
First 2 = -0.2, rest +0.2	24.101	1.732	0.962	1.057	48.536	11.556	0.997	1.119
First 3 = -0.2, rest +0.2	28.496	2.011	0.955	1.068	53.596	11.189	0.982	1.132
First 4 = -0.2, rest +0.2	28.249	2.093	0.956	1.068	53.106	11.477	0.986	1.131
First 5 = -0.2, rest +0.2	28.409	2.211	0.957	1.068	53.093	11.586	0.987	1.131
All -0.2	29.060	2.677	0.960	1.070	53.684	12.063	0.990	1.133
Panel B: τ_{hor} only								
All +0.2	-2.446	1.034	1.016	0.994	16.217	14.178	1.100	1.038
First 1 = -0.2, rest +0.2	4.800	-0.865	0.980	1.011	26.887	10.904	1.042	1.064
First 2 = -0.2, rest +0.2	4.559	-1.372	0.976	1.011	26.457	10.273	1.037	1.063
First 3 = -0.2, rest +0.2	3.609	-1.903	0.973	1.008	25.262	9.680	1.034	1.060
First 4 = -0.2, rest +0.2	2.808	-2.376	0.970	1.006	24.306	9.171	1.032	1.058
First 5 = -0.2, rest +0.2	2.290	-2.668	0.968	1.005	23.701	8.870	1.031	1.057
All -0.2	2.290	-2.668	0.968	1.005	23.701	8.870	1.031	1.057
Panel C: τ_{emb} only								
All +0.2	-1.863	0.279	1.007	0.996	17.868	13.637	1.090	1.042
First 1 = -0.2, rest +0.2	-1.188	-1.656	0.986	0.997	18.677	10.572	1.059	1.044
First 2 = -0.2, rest +0.2	-0.292	-1.434	0.986	0.999	19.766	10.778	1.058	1.047
First 3 = -0.2, rest +0.2	0.508	-1.227	0.987	1.001	20.736	10.978	1.058	1.049
First 4 = -0.2, rest +0.2	1.158	-1.080	0.987	1.003	21.512	11.110	1.057	1.051
First 5 = -0.2, rest +0.2	1.692	-0.972	0.986	1.004	22.151	11.202	1.056	1.053
First 6 = -0.2, rest +0.2	2.008	-0.935	0.986	1.005	22.516	11.224	1.056	1.054
First 7 = -0.2, rest +0.2	2.197	-0.923	0.986	1.005	22.740	11.231	1.055	1.054
First 8 = -0.2, rest +0.2	2.304	-0.903	0.986	1.005	22.873	11.240	1.055	1.054
All -0.2	2.304	-0.903	0.986	1.005	22.873	11.240	1.055	1.054

Table C2. Sensitivity Analysis: Effect of a $\pm 1\%$ Parameter Perturbation on Model Outcomes

Parameter	Investment Ratio		Markup		Growth Rate	
	+1%	-1%	+1%	-1%	+1%	-1%
<i>Demand and Technology</i>						
Demand elasticity (ε)	1.960	-1.447	-0.096	0.173	2.779	-2.559
Capital share (α)	1.305	127.472	0.171	-1.769	3.474	4.354
Intangible intensity (β)	-0.062	0.063	-0.054	0.054	-0.065	0.066
Market share elasticity (γ)	-2.932	3.130	-0.423	0.455	-1.602	1.626
Exit rate (ξ)	-0.586	0.581	-0.085	0.085	-0.287	0.298
<i>Curvature Parameters</i>						
Embedding curvature (ϑ_{emb})	1.519	-1.532	0.016	-0.015	0.923	-0.935
Step-size (λ)	334.219	-23.373	3.839	-4.457	62.250	-34.154
Demand curvature (θ)	14.919	112.033	0.284	-2.206	8.750	1.256
<i>R&D Cost Parameters</i>						
Vertical R&D cost (γ_{ver})	-0.422	0.431	0.008	-0.008	-0.202	0.206
Horizontal R&D cost (γ_{hor})	-0.291	0.297	0.032	-0.032	-0.102	0.110
Embedding R&D cost (γ_{emb})	-0.026	0.026	-0.002	0.002	-0.102	0.104
Fringe R&D cost (γ_f)	-0.493	0.504	-0.031	0.031	-0.819	0.835
Baseline value	1.3724		1.5731		0.0116	

Notes: Each entry reports the percentage change in the outcome when the row parameter is perturbed by +1% or -1%, holding all other parameters at their baseline values. The *Intangibility Ratio* is defined as $(G_{\text{ver}} + G_{\text{hor}} + G_f) / G_{\text{emb}}$, where $G_k = \gamma_k z_k^{\vartheta_k}$. The *Markup* is $(1 - \varepsilon) / [(1 - \varphi) \varepsilon] + 1$. The *Growth Rate* is $\mathbb{E}[\log \lambda \cdot (z_{\text{ver}} + p_{\text{ex}} z_{\text{hor}} + \bar{m} p_f z_f)]$. Asymmetry between the +1% and -1% columns reflects local nonlinearity of the equilibrium mapping.

C.2. Solution Algorithm

This algorithm computes the balanced growth path with a three dimensional state space (m, k, n) . The solution involves finding the value functions $v_s(m, k, n)$ and $v_f(m, k, n)$, the innovation rates $z^{\text{Int}}, z^{\text{Emb}}, z^{\text{Ex}}, z^f$, and the stationary distribution $\mu(m, k, n)$ that jointly satisfy the model's equilibrium conditions.

BGP Equilibrium Solution:

1. **Compute static values:** Calculate static market shares and profit values using equations (??) and (19).
2. **Initialization:** Initialize the value functions $v_s(m, k, n)$ and $v_f(m, k, n)$, and the station-

ary distribution $\mu(m, k, n)$.

3. Step 1: Solve HJB Equations (Backward Iteration)

- (a) Set $v^{\text{old}}(m, k, n)$.
- (b) Repeat until $\max |v^{\text{new}} - v^{\text{old}}| < \text{tolerance}$:
 - Compute policy functions $x(m, k, n)$ from the FOCs using v^{old} .
 - Solve the discretized HJB equations for $v^{\text{new}}(m, k, n)$.
 - Update $v^{\text{old}} \leftarrow v^{\text{new}}$.

4. Step 2: Solve the Kolmogorov Forward Equation (KFE)

- (a) Set $\mu^{\text{old}}(m, k, n)$.
- (b) Repeat until $\max |\mu^{\text{new}} - \mu^{\text{old}}| < \text{tolerance}$:
 - Solve the discretized KFE for $\mu^{\text{new}}(m, k, n)$ using the policy functions $z^{\text{Int}}, z^{\text{Emb}}, z^{\text{Ex}}, z^f$.
 - Update $\mu^{\text{old}} \leftarrow \mu^{\text{new}}$.

5. Step 3: Repeat Steps Until Value Functions and Distribution Converge

Finally, to determine the optimal parameter values, search over the parameter space to minimize the objective function,

$$\text{Minimize}(z) = \sum_{z=1}^Z \frac{|\text{model}(z) - \text{data}(z)|}{\frac{1}{2}|\text{model}(z)| + \frac{1}{2}|\text{data}(z)|}.$$